ATME COLLEGE OF ENGINEERING

MYSURU-570028

Technological Innovation Management and Entrepreneurship

SUBJECT CODE: 18ES51

INSTITUTIONAL MISSION AND VISION

Vision

- Development of academically excellent, culturally vibrant, socially responsible and globally competent human resources.

Mission

- To keep pace with advancements in knowledge and make the students competitive and capable at the global level.
- To create an environment for the students to acquire the right physical, intellectual, emotional and moral foundations and shine as torch bearers of tomorrow's society.
- To strive to attain ever-higher benchmarks of educational excellence.

DEPARTMENTAL MISSION AND VISION

Vision

To develop highly skilled and globally competent professionals in the field of Electronics and Communication Engineering to meet industrial and social requirements with ethical responsibility.

Mission

- To provide State-of-art technical education in Electronics and Communication at undergraduate and post-graduate levels, to meet the needs of the profession and society and achieve excellence in teaching-learning and research.
- To develop talented and committed human resource, by providing an opportunity for innovation, creativity and entrepreneurial leadership with high standards of professional ethics, transparency and accountability.

- To function collaboratively with technical Institutes/Universities/Industries, offer opportunities for interaction among faculty-students and promote networking with alumni, industries and other stake-holders.To provide State-of-art technical education in Electronics and Communication at undergraduate and post-graduate levels to meet the needs of the profession and society.

Program outcomes (POs)

Engineering Graduates will be able to:

PO1. **Engineering knowledge**: Apply the knowledge of mathematics, science, engineering fundamentals, and an engineering specialization to the solution of complex engineering problems.

PO2. **Problem analysis**: Identify, formulate, review research literature, and analyze complex engineering problems reaching substantiated conclusions using first principles of mathematics, natural sciences, and engineering sciences.

PO3. **Design/development of solutions**: Design solutions for complex engineering problems and design system components or processes that meet the specified needs with appropriate consideration for the public health and safety, and the cultural, societal, and environmental considerations.

PO4. **Conduct investigations of complex problems**: Use research-based knowledge and research methods including design of experiments, analysis and interpretation of data, and synthesis of the information to provide valid conclusions.

PO5. **Modern tool usage**: Create, select, and apply appropriate techniques, resources, and modern engineering and IT tools including prediction and modeling to complex engineering activities with an understanding of the limitations.

PO6. **The engineer and society**: Apply reasoning informed by the contextual knowledge to assess societal, health, safety, legal and cultural issues and the consequent responsibilities relevant to the professional engineering practice.

PO7. **Environment and sustainability**: Understand the impact of the professional engineering solutions in societal and environmental contexts, and demonstrate the knowledge of, and need for sustainable development.

PO8. **Ethics**: Apply ethical principles and commit to professional ethics and responsibilities and norms of the engineering practice.

PO9. **Individual and team work**: Function effectively as an individual, and as a member or leader in diverse teams, and in multidisciplinary settings.

PO10. **Communication**: Communicate effectively on complex engineering activities with the engineering community and with society at large, such as, being able to comprehend and write effective reports and design documentation, make effective presentations, and give and receive clear instructions.

PO11. **Project management and finance**: Demonstrate knowledge and understanding of the engineering and management principles and apply these to one's own work, as a member and leader in a team, to manage projects and in multidisciplinary environments.

PO12. Life-long learning: Recognize the need for, and have the preparation and ability to engage in independent and life-long learning in the broadest context of technological change.

Program Specific Outcomes (PSOs)

At the end of graduation the student will be able,

- To comprehend the fundamental ideas in Electronics and Communication Engineering and apply them to identify, formulate and effectively solve complex engineering problems using latest tools and techniques.
- To work successfully as an individual pioneer, team member and as a leader in assorted groups, having the capacity to grasp any requirement and compose viable solutions.
- To be articulate, write cogent reports and make proficient presentations while yearning for continuous self-improvement.
- To exhibit honesty, integrity and conduct oneself responsibly, ethically and legally; holding the safety and welfare of the society paramount.

Program Educational Objectives (PEOs)

- Graduates will have a successful professional career and will be able to pursue higher education and research globally in the field of Electronics and Communication Engineering thereby engaging in lifelong learning.
- Graduates will be able to analyze, design and create innovative products by adapting to the current and emerging technologies while developing a conscience for environmental/ societal impact.
- Graduates with strong character backed with professional attitude and ethical values will have the ability to work as a member and as a leader in a team.
- Graduates with effective communication skills and multidisciplinary approach will be able to redefine problems beyond boundaries and develop solutions to complex problems of today's society.

MODULE 1

MODULE STRUCTURE

1.1 **Management:** Introduction

1.2 Objectives

1.3 Nature and Functions of Management – Importance

1.4 Definition

1.5 Management Functions

1.6 Levels of Management

1.7 Roles of Manager

1.8 Managerial Skills

1.9 Management & Administration

1.10 Management as a Science, Art & Profession (Selected topics of Chapter 1, Text 1).

1.11 **Planning:** Planning-Nature

1.12 Importance of planning

1.13 Types of plan

1.14 Steps of Planning

1.15 Limitations of planning

1.16 Decision Making – Meaning

1.17 Types of Decision Making

1.18 Steps in Decision Making (Selected topics from Chapters 4 & 5, Text 1).

1.19 Outcomes

1.1 INTRODUCTION

Management is a function of guidance and leadership control of efforts of a group or individuals in order to achieve goals/objectives of an organization. Being a new discipline it has drawn concepts and principles from a number of disciplines such as Sociology, Economics, Psychology, Statistics, Anthropology and so on. The contributors from each of these groups have viewed management differently. For example economists have treated management as 'a factor of production'; Sociologists treated it as 'a group of persons'. Hence, taking all these view points, it becomes difficult to define management in a comprehensive way and no definition of management has been universally accepted

1.2 OBJECTIVES

This module enables students to examine the meaning, importance and nature of management. Understand the difference between management and administration. Describe the roles of a manager. Describe the nature and importance of planning. Present the various types of plans. Explain steps in planning and strategic planning process. Identify limitations of planning. Define the meaning of a decision and describe the various types of decision. Present the steps in rational decision making Process.

1.3 NATURE AND FUNCTIONS OF MANAGEMENT – IMPORTANCE

a. **Management is a critical element in the economic growth of a country:**

   By bringing together four factors of production (men, money, material and machines), management enables a country to experience a substantial level of economic development. A Country with enough Capital, manpower and other natural resources can still be poor if it does not have competent managers to combine and co-ordinate these resources.

b. **Management is essential in all organized efforts, be it a business activity or any other activity:**

   Management is not only just used for managing business organizations; they are applied to various organizations such as educational, social, military and government. Thus management is the same process in all forms of organization.

c. **Management is the dynamic , life-giving element in every organization:**

Management co-ordinates current organizational activities and plans future ones. It arbitrates disputes and provide leadership. It adapts the organization to its environment and often shapes the environment to make it more suitable to the organization.

“Without management, a country’s resource of production remain resources and never become production”- **Peter drucker.**

1.4 DEFINITION

No definition of management is been universally accepted . Definitions suggested by some of the management experts are presented below:

“Management is the art of getting things done through the people”-**Mary parker follett.**

“Management is conduct of affairs of business, moving towards its objective through a continuous process of improvement of optimization of resources”- **Henri fayol.**

“Management is knowing exactly what you want men to do and then seeing that they do it in the best and cheapest ways”-**F.W Taylor.**

“Management may be defined as the art of securing maximum effort ,so as to secure maximum prosperity, peace and happiness for both employer and employee and give the public the best possible service”-**John F.Mee.**

1.5 MANAGEMENT FUNCTIONS

There are five essential and well accepted functions of management they are:

a. Planning.

b. Organizing.

c. Staffing.

d. Directing (leading).

e. Controlling.

a. Planning:

- Planning is the function that determines in advance what should be done.
- It is a process of deciding the business objectives and charting out the methods of attaining those objectives.
- Planning is done not only for the organization but for every division, department or sub-unit of the organization.
- Thus planning is a function that is performed by managers at all levels –top level, middle level and supervisory.
- Plans made by top level management may cover as long as five or ten years.
- Plans made by middle level may cover for shorter period.
- For ex: two hours meeting to take place in a week.

b. Organising:

- To organize a business is to provide them personnel (employees), raw materials, tools, capital etc…
- This is divided into two organization human organization and material organization.
- Once managers have established objectives, they must design and develop human organization that is required to carry out the plans successfully.

c. Staffing:

- Staffing is considered as an important function in building human organization.
- In Staffing, manager attempts to find the right person for each job.
- Manager recruits enough manpower to fill the various positions needed in the organization.
- Staffing involves the selection and training of future managers and suitable system of compensation.

d. Directing:

- After planning, organizing and staffing the next important function of management is directing or leading the people towards the defined objectives.
- Directing involves three sub-functions –communication, leadership and motivation.
- **Communication** the process of passing information and understanding from one person to another.
- **Leadership** is the process by which a manager guides and influences the work of his sub-ordinates.
- **Motivation** means arousing desire in the minds of employees of an organization to perform their best .
- There are two kinds of motivation: Financial and Non-financial. Financial motivation is in the form of salary ,bonus ,profit sharing rewards etc……..
- Non-financial motivation is job security, promotions, praise , felicitation etc…..

e. Controlling:

- Controlling is measuring and correcting if activities of sub-ordinates to make sure that the work is going on as per the plans.
- These involve these elements: Establishing standards of performance. Measuring performance and comparing with established standards. Taking corrective action to meet the set standards.

1.6 LEVELS OF MANAGEMENT

The three levels of management that are commonly found in an organization are as shown in Figure1.1.

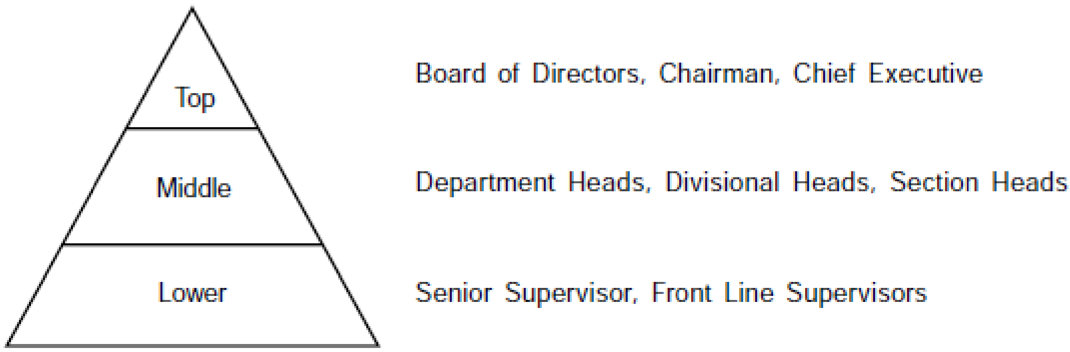

Figure 1.1: Levels of management

TOP MANAGEMENT: Top management consist of chairman, directors, company presidents, vice presidents CEO's. Functions are:

- They determine goals of organization
- Establish policies
- Monitoring performances
- Judging the results.

MIDDLE MANAGEMENT: It is a vast & diverse group that includes finance manager, sales manager, marketing manager, personal manager departmental heads etc. Functions are:

- To plan details of all operations.
- To co-ordinate between various departments
- Development of manpower for the organization by imparting training.

LOWER MANAGEMENT: It includes foreman & supervisors. They are basically one step above the workers. Functions are:

- To act as link between management & the workers.

- Supervision of workers & their work.
- Arrangement of materials & tools etc. for production.

1.7 ROLES OF MANAGER

According to Mintzberg , manager should be regarded as playing the following 10 different roles:

1. Inter personal roles: FIGUREHEAD, LEADER, LIAISON.
2. Informational roles: MONITOR, DISCMINATOR, SPOKESMAN.
3. Decisional roles: ENTERPRENEUR, DISTRBANCE HANDLES, RESOURCE ALLOCATER &

NEGOTIATOR

i) INTERPERSONAL ROLES

FIGUREHEAD:-In this role, every manager will perform some duties of ceremonial nature. Such as greeting and touring dignitaries, attending wedding of an employee, taking important customer to lunch & so on.

LEADER:-As a leader, every manager must motivate & encourage his employees. He shoukd reconcile the needs with the goals of the organization.

LIASION:-In this role, every manager must cultivate contacts with outside people and collect useful information for the well being of the organization.

ii) INFORMATIONAL ROLES:

MONITOR:-As monitor, manager has to solicits & receives information from various sources on matters concering his organization. Keeps all channel open for information.

DISSEMINATOR:-The manager passes some of his privileged information directly to his key subordinates, who has no access otherwise.

SPOKESMAN:-As a manager, he should spend part of his time in representing his organization before various outside groups .Eg: share holders, govt. bodies, press media etc.

iii) DECISIONAL ROLES:

ENTREPRENEUR:-As an entrepreneur, a manager initiates projects to improve the organization, encourages new ideas and innovations, brings in changes & manages it looks for sources.

DISTURBANCE HANDLER:-A manager handles all kinds of disturbances that occur within the organization & find solutions to problems such as worker strikes, major accidents, customers going bankrupt, suppliers not delivering to schedule etc.

RESOURCE ALLOCATOR:-Here manager decides how all the organizations get distributed among various divisions or employees and allocates to required areas.

NEGOTIATOR:-Manager need to negotiate on important matters concerning the organization. Eg: negotiating trade unions, politicians, client, suppliers etc.

1.8 MANAGERIAL SKILLS

Manager should possess 3 major skills:

TOP MANAGEMENT—CONCEPTUAL SKILL

MIDDLE MANAGEMENT—HUMAN RELATION SKILL

SUPERVISORY LEVEL—TECHNICAL SKILLS

The skill is an individual's ability to perform physical or mental tasks with a specified outcome.

CONCEPTUAL SKILL: It is the ability of a manager to conceptualise the environment, the organization & his own job, so that he can set appropriate goals. For his organization, for himself & his team this skill seems or increase in importance as manager moves up to higher positions of responsibility in the organization.

TECHNICAL SKILL: It is manager understands of the nature of job that people under him have to perform. It refers to person's knowledge and proficiency in any type of process or technique. This skill is important at lower levels of management. As manager moves to higher positions, the conceptual component becomes more important & technical component becomes less important.

HUMAN RELATIONS SKILL: It is the ability to interact effectively with people at all levels. This skill helps manager. To judge the possible reactions to & outcomes of various course of action he may undertake to recognize the feelings & sentiments of others. To examine his own concepts & values, this will enable manager to develop more useful attitudes about him. This skill is important to managers at all levels. At top level technical skill becomes least important.

1.9 MANAGEMENTAND ADMINISTRATION

Administration involves "thinking". It is a top level function which centres on the determination of plans, policies and objectives of a business enterprise. Management involves "doing". It is a lower level function which is concerned with the execution and direction of policies and operations. Figure 1.2 shows that, at top level more time is spent in administrative activity and as one moves down in the organization more time is spent in managerial activity.

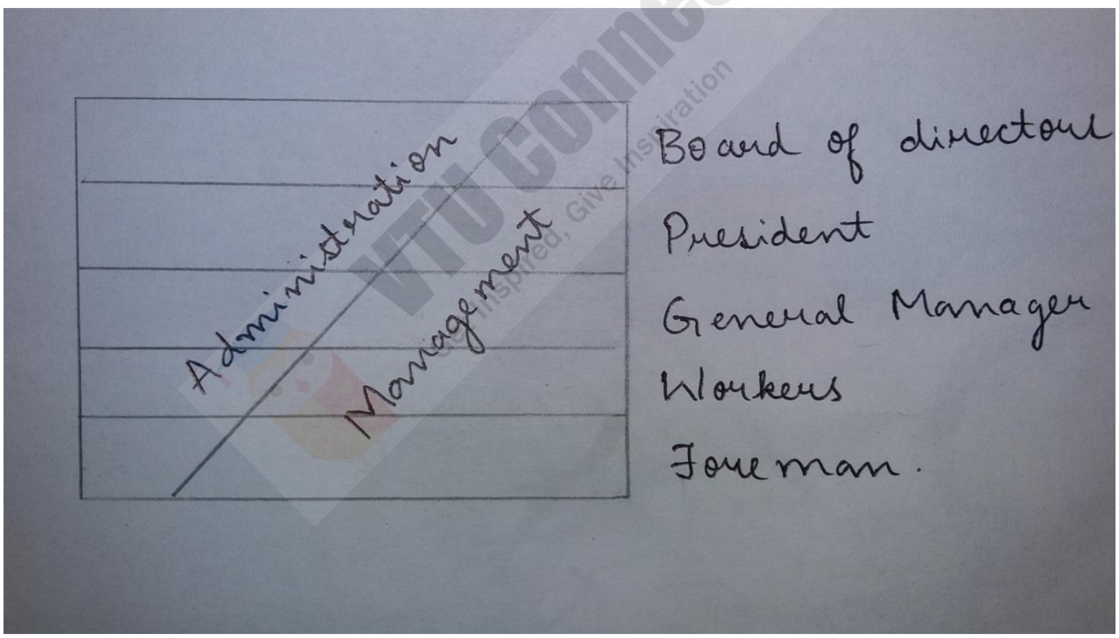

Figure1.2 : Time spent in administration and managerial functions at different levels.

Upper level management is called administrative management and lower level management is known as operative management.

The difference between administration and management are listed below .

CHARACTERISTIC	ADMINISTRATION	MANAGEMENT
1.Main function	Planning ,organizing & staffing	Leading, motivating & controlling
2.Status	Acts as owner	Acts as an agency
3.Skills	Requires good administrative skills	Requires good Technical skills
4.Levels in the Organisation	Top level	Lower level
5.Position	Managing Directing owner ,CEO Etc…	Managers ,supervisor , Foreman etc…
6.Objectives	Makes the policies, Objectives and Goals to be Achieved	Implements the plans And policies
7.Involvement	No direct involvement In production or Services	Directly involves in the execution of plans and achieving goals

1.10 MANAGEMENT AS A SCIENCE, ART & PROFESSION

Management as Science:

- Hall marks of a science are not the test tube or the lab coat.
- Instead, they are implicit in the method of inquiry used for gathering the data.
- The discipline is said to be scientific of its,

  1. Methods of inquiry are systematic and empirical.
  2. Information can be ordered and analysed; and
  3. Results are cumulative and communicable.

- Being systematic means being orderly and embiased.
- All scientific information collected first as raw data is finally ordered and analysed with the help of statistical tools.
- Now data becomes Communicable and Intelligible.
- Science is also cumulative in that which is discovered is added to that which has been found before.

  Therefore, we can say management is also a science.

- Science is used to denote two types of systematic knowledge – natural or exact and behavioural or inexact.

  Therefore, Management is not like the exact or natural sciences [such as physics or chemistry].

- In management one has to study man and a multiplicity of factors affecting him.

  For example:- It is not possible to study the effect of monetary incentives on a worker's productivity , because this affect will be mixed with and inseperable from other effects such as leadership style of the workers supervisor , workers need hierarchy , the pressure of his co-workers etc…..

- Therefore, our findings are not going to be accurate and dependable as those of physical science.

  They are going to tell us about tendencies and probabilities only.

Therefore, we place management in the category of a behavioural science.

Management as an art:

- In ‘science’ one learns “why” of a phenomenon under ‘art’ one learns the ”how” of it.
- Art is thus concerned with the understanding of how a particular work can be accomplished.
- Management in this sense is more an art “It is the art of getting things done through others in dynamic and mostly non-repetitive situations”.
- Whether it is factory or a farm or a domestic kitchen , the resources of men machine and money have to be coordinated against several constraints to
- The manager has to constantly analyze the existing situation determine the objectives , seek alternatives , implement, co-ordinate control and evaluate information and make decisions.
- A theoretical body of lessons and principles which manager has learnt should be put in his special problem . He should have that skill or art .
- The knowledge has to be applied and practiced by that manager. Just as the medical or legal practitioners practice their respective science.

  Therefore, in this sense management is an art.

  Therefore, we conclude management involves both elements those of a science and an art. While certain aspects of management make it a science, certain others which involve application of skill make it an art.

Management as a profession:

- A Profession is calling that, requires specialized knowledge and often long intensive academic preparation.
- The essential features of profession are:
  - Well defined body language.
  - Restricted entry.

- Service motive.
- Code of conduct.
- Representative professional association

1.11 PLANNING: PLANNING-NATURE

"Planning is deciding in advance what is to be done. It includes the selection of objectives, policies, procedures and programes from alternatives." -M. L. Harley

"Planning is decision making in anticipation." -R.L. Ackoff.

NATURE OR FEATURES OR CHARACTERISTICS OF PLANNING:

Planning is the beginning of the process of management.

1. Planning is an intellectual process:

- It requires managers to think before acting.
- It is thinking in advance.
- It is by planning managers of organization decides what is to be done, when it is to be done, how it is to be done and who is to do it.

2. Planning is decision making:

- Decision making is an integral part of planning.
- It is a process of choosing among alternatives. For ex:- planning for their organization, managers must decide which goal to pursue. shall we manufacture all parts internally or buy some from outside?"
- Managers must decide how they will allocate their resources to attain their goals.

c) Planning is a continuous process:

- Manager should constantly watch the progress of his plans.

- He should constantly monitor the conditions, both within and outside the organization to determine if changes are required in his plans.
- Manager should be right than being consistent. It is called " principle of navigational change."

d) Planning must be flexible:

- Planning must not be rigid.
- Flexibility of planning means its ability to change direction to adapt to changing situations.
- Planning should possess a built –in flexibility in atleast 5 major areas.
- 1) Technology 2) Market 3) Finance 4) personnel 5) organization

e) Planning is all pervasive:

- Planning is important to all managers regardless of their level in the organization. i.e from CEO to first time supervisor.
- Top level managers are concerned with longer time periods (six months to five years later).
- Lower level managers are concerned with planning activities for the day, week or month.

1.12 IMPORTANCE AND PURPOSE OF PLANNING PROCESS.

Without planning business decisions would become random, ad hoc choices.

Four concrete reasons for the importance of planning function are as follows:-

1) Minimizes risk of uncertainty.

2) Leads to success.

3) Focuses attention on the organization's goals.

4) Facilitates control and trains executives.

1) Planning minimizes risk and uncertainty:-

- Organizations have to function and survive in an environment that is changing too fast.
- In such situations, planning based on hard facts and and data help managers to minimize risk and uncertainties.

2) Planning leads to success:-

- Planning leads to success by doing beyond mere adaptation to market fluctuations.
- With the help of a sound plan, management can act proactively, and not simply react.

3) Planning focuses attention on the organizations and goals:-

- Planning helps the manager to focus attention on the organization's goals and activities.
- This makes easier to co-ordinate the resources of the organization more economically.
- Planning helps manager to think in advance and orderly sequence of steps for realization of organization's goals and to avoid needless overlapping of activities.

4) Planning facilitates control:-

- The function of control is to ensure that the activities confirm the plans.
- Without proper control planning is a wasteful exercise.

5) Planning trains executives.

- Planning is also an excellent means for training executives.
- Then executives become involved in the activities of the organization.

6). Planning ensures co-ordination:-

- Planning helps to establish coordinated efforts from different divisions, departments and people.
- When all the members of the organization become aware of goals and the routes taken to achieve them, there is better co ordination.

7). Planning encourages innovation and creativity:-

- In order to overcome weakness and ward off threats, managers are compelled to be creative, innovative all the time.
- This will help managers to remain competitive at all times.

8) Planning helps in decision making:-

- Managers in all levels in ana organization are continuously included in decision making in onr way or the other.
- Planning helps in providing guidelines and thus facilitate decision making.

9).Planning improves morale:- (team spirit)

- Planning has a definite role to play in the success of an organization.
- Success leads to profit and profit leads to happy management.
- Because of the fact that employees have participated in the planning process, it will boost their morale.

1.13 TYPES OF PLAN

VISION: This is the dream that an entrepreneur creates about the direction that his business should pursue in future. Vision is an ongoing process. As the organisation proceeds, vision reshapes. A vision should be brief, focused, clear & inspirational to the organisational employees. It should be linked to customer's need & convey a general strategy for achieving the mission

Mission: is the unique aim of of an organisation that sets apart from others of its types. Mission decides the scope of business [i.e products &services the organisation provides] mission is not revised every now and then in response to every new turn in the economy it may change over time to take advantage of new condition

OBJECTIVES: objectives are the goals or aims that the management wishes the organisation to achieve in pursuit of its mission. It is the end points towards which all business activities like organising, staffing, directing& controlling are directed

CHRACTERISTICS OF OBJECTIVES:

- objectives are multiple in number
- objectives are either tangible or intangible
- objectives have a priority
- objectives are generally arranged in a hierarchy
- objectives may clash with each other

1. Objectives are multiple in number:

- all organisations usually have multiple objectives
- It is because of the many areas of business operations where organisations try to set their goals. "peter ducker" says, there are 8 areas in which objectives to be set

(a) Market standing of the company

(b)innovation achieved by the company

(c) productivity in various parameters

(d) physical & financial resources

(e) profitability of business

(f) managerial performance & development

(g) worker performence and attitude

(h) fullfillment of public responsibility

2. Objectives are either tangible or intangible

- It is tangible ,which means they could be quantifiable ex: productivity, profitability... etc
- objectives are intangible which means they are qualitative in nature and cannot be quantified for ex: workers morale, company image.... etc

3. **Objectives have a priority:**

- At any point of time , accomplishment of one objectives is relatively more important than of the others.
- The establishment of priorities is extremely important because in that resources of any organisation must be allocated by rational means.
- At all time ,managers are confronted with alternative goals which must be evaluated and ranked .ex: university vice chancellor must determine the relative importance of teaching, resarch & extension goals

4. **Objectives are generally arranged in hierarchy**

- It means the top level objectives of an organisation break into next level of objectives which again give rise to many more in the next level so on
- therefore objectives form a hierarchy from the top level to the lowest position in the organizational structure

5. **Objectives sometime clash with each other:**

- The process of allocating objectives among various unit creates the problem of potential goal conflict, where in achieving the goal of one unit may harm or fail other goals.
- ex: goal of production unit is to achieve low cost unit or price by producing in mass. Mass production should not be of low quality. Because, it might conflict with the sales goal of selling high quality product.

STRATEGIES: Is term originated in military, which connates a response to a competitive environment this is commonly referred to as SWOT (strength,weakness,opportunities & threats) analysis. Two important activities involved in strategy formulation are environmental appraisal & corporate appraisal.

STRATERGIC PLANNING :

Strategic planning	Operational planning
1. It decides major goals and policies of allocation of resources to achieve these goals.	1. It decides the detailed use of resources for achieving these goals
2. It is carried at higher level of management.	2. It is carried at lower level of management.
3. It is long term.	3. It is short term.
4. It is based on long term forecasting considering the possible impact of political, economical, technological and competitive factors and is more uncertain.	4. It is generally based on past performance of the organization and is less uncertain.
5. It is less detailed.	5. It is more detailed.

ex: tata idea of marketing a car at a price of Rs.1 lakh is a stratergic plan.to make it ,resource required ,how and where to manufacture ,how to assemble ..etc are tactical plans.

SINGLE USE PLANS:

They are developed to achieve a specific end after reaching that target ,that plan becomes useless. The major types of plans are programmes and budgets

Programmes: they are precise plans or definite steps in proper sequence which need to be taken to discharge a given task

Budgets: budgets are plans for a future period of time containing statements of expected results in numerical terms i.e rupees ,man-hours, product -units & so on

STANDING PLANS:

They are designed for situations that often repeat. These plans are used again. There are 4 types of standing plans :

(1) Policies

(2) Procedures

(3) Rules

(4) Methods

- Policies: setting up boundaries that supply the general limits & direction in which managerial action will take place - "terry"
- Procedures: are detailed guidelines that are used to carry out the policies.
- Rules: are, detailed & recorded instruction that a specific action must meet under the given instruction. ex: reporting time to office ,lunch time ...etc
- Methods: method is a way in which one step of a procedure to be carried out.

1.14 STEPS OF PLANNING

1. Establishing verifiable goals or set of goals to be achieved
2. Establishing planning premises

   ➞ Internal and external premises

   ➞ Tangible and intangible premises

   ➞ Controllable and non controllable premises
3. Deciding the planning period
4. Finding alternative courses of action
5. Evaluating and selecting a course of action
6. Developing derivative action plans
7. Establishing and developing action plan
8. Measuring and controlling the process

1. <u>Establishing verifiable goals or set of goals to be achieved</u>

- The first step in planning is to determine the enterprise objectives
- It is set by upper level or top level manager
- The type of goal selected will depend on a number of factors : the basic mission of the organization, value its manager hold, and potential activities of the organization

2. Establishing planning premises

It is second step in planning. It is to establish planning premises. i. e certain assumptions about future on the basis of which the plans will be ultimately formulated. Planning premises can be classified into

a) Internal and external premises

b) Tangible and intangible premises

c) Controllable and non controllable premises

a) Internal and external premises :

Internal and external premises within the organization. some of the examples are policies, forecast, investment, availability of equipment, funds flow.. Etc external premises are outside the organization they include government policies, technology changes, business environment, demand etc.

b) Tangible and intangible premises

Tangible are measurable premises.

Ex : population, investment and demand. Intangible premises are which cannot be quantitatively measurable. Ex: business environment, economic conditions.

c) Controllable and non controllable premises :

Some of the premises are controllable like, technical man power, input technology, machinery etc. Some other premises like strikes, non availability of raw materials, phase shifts are uncontrollable by the organization

3) Deciding planning period

- Once upper level managers have selected basic long-term goals and planning premises, the next task is to determine the period of the plan.
- In some stances plans are made for a Yea only while in other plans spans decides choice of period are as follows a. Lead time in development and commercialization of new product . b. Pay back period etc.

4) Finding alternative courses of action :

- The fourth step in planning is to search and examine alternative courses of action. Ex: technical know how may be taken by engaging or foreign technician or by training staff abroad.

5) Evaluating and selecting a course of action :

- Fifth step is to evaluate the alternative courses in the light and select the best of action .This is done with the help of quantitative technique and Operating research

6) Developing derivative plans :

- Once the plan for the organization has been formulated, middle and lower level managers must draw up the appropriate plans for their sub units.
- Derivative plans are plans that are required to support the basic plan
- In developing these derivative plans, lower level manager take steps similar to those taken by upper level manager. Selecting realistic goals etc

7) Establishing and deploying action plans

- Managers may not know how to turn the derivative plans into action.
- Action plan identifies particular activities necessary for this purpose and specifies the who, what, when and how of each action item

8) Measuring and controlling the progress :

- Without monitoring plan will get ruined.

- Hence process of controlling is critical part of any plan. Managers need to check the progress of their plans.

1.15 LIMITATIONS OF PLANNING

- Planning is an expensive and time consuming process. It includes money, energy and risk, but gives no assurance of the fulfilment of organisation's objectives.
- Planning restricts the organisation to risk-free opportunities. Planning forces manager to operate within the limits, planning cause delay in decision making.
- For industries producing fashionable articles or for industries engaged in a publication of textbooks, working on a day-to-day basis is more economical than on a planned basis.
- Establishment of advance plans may make administration inflexible. When unforeseen changes in the environment such as business recursion, crop failure take place then original plan loses its value and fresh plan need to be done.
- There is difficulty in formulating accurate premises, because future cannot be known with accuracy.
- Planning May sometimes face people's resistance to do it.

1.16 DECISION MAKING – MEANING

Definition: A decision is a choice between two or more alternatives. This implies three things,

1. When manager make decision they are choosing.
2. Managers have alternatives when they are making decision. [Evaluate several alternatives and select the best one].
3. Managers have a purpose in mind when they are making a decision.

1.17 TYPES OF DECISION MAKING

- Programmed and non-programmed decision.
- Major or minor decision.

- Routine and strategic decision.
- Individual and group decision.
- Simple and complex decision.

Programmed and non-programmed decision

- Programmed decisions are those that are made in accordance with some policy, rule or procedure and they do not have to be handled each time they occur. They are repetitive routine. Example: determining salary payment to employs who have been ill.
- Non programmed decisions are natural and non repetitive. If a problem has not arisen before then it must be handled by a non-programmed decision. Example: What to do about a failing product line, how community relations should be improved etc...
- In programmed decision, each manager is guided by some set of rules and policies. Therefore it is not possible for two different managers to arrive at different solution.
- In case of non programmed decisions, each manager will be his own personal beliefs, attitudes and value judgment to bear on decision process. Therefore two different managers can arrive at two different solutions.

Major or minor decision

Degree of futurity of decision

- How long a decision in future will commit the company? .A decision which has long range impact like replacement of men by machinery must be rated as major decision.
- How to store raw materials may be taken as minor decision.

Impact of the decision on other functional areas

- If a decision affects only one function then it is a minor decision else it is a major decision.

Qualitative factors that enter the decision

- A decision which involves certain subjective factors is an important decision
- Example: Subjective factors are basic principles of conduct, ethical values etc

Recurrence of decision

- Decisions which are rare considered as major decisions and decisions which occur very often is minor decision.

Routine and strategic decisions

- Routine and tactical or housekeeping decisions are those which are supportive. They relate to the present.
- Their purpose is to achieve as high degree of efficiency possible in companies ongoing activities

Example: providing Air conditioning (ac), better lighting etc. Lowering price of product, changing the product line are strategic decisions.

Individual and group decisions

- Decision may be taken as either by an individual or by a group. Individual decisions are taken where problem is of routine nature
- Important and strategic decisions may result in some change in organisation is a group decision

1.18 STEPS IN DECISION MAKING

There are seven steps in decision making

- Recognizing the problem.
- Deciding Priorities among problems
- Diagnosing the problem.
- Developing alternative solutions or course of action.
- Measuring and comparing sequences of alternative solutions

- Converting the decision into effective action
- Follow-up

Recognizing the Problem:

It is the first step in decision making. A problem exists:

- When there is deviation from past experience.
- When there is deviation from plan
- When other people bring problems to the manager.

Deciding Priorities among problem:

Manager should identify the problem which

- He can solve
- His subordinates can solve.
- Are to be referred to the higher officers.

Diagnosis problem

- Manager should follow systems approach in diagnosing a problem.
- He should make a thorough study of all sides of a problem along with organisation before arriving at a solution.

Development of Alternate Solution

- After diagnosis next step is to find alternate solutions.
- Alternates do exist. In the absence of past history of alternate solutions, managers should find alternatives of his own.

Measuring and comparing Sequences

This comparison involves comparing a quality and acceptability of these alternatives.

Decision implementation:

This requires the communications of the decisions to the concerned employees in clear and simple terms.

Follow up:

In final step, the action should be continuously followed up to ensure whether the decision is achieving its purpose.

1.19 OUTCOMES:

Students will now be able to define the meaning of management, describe various types of plan and Explain the planning and decision making Process.

RECOMMENDED QUESTIONS:

1. Define management and explain how management is an art, science, and profession.
2. What is an objective? Explain its characteristics?
3. Explain managerial skills.
4. Define planning. List the limitations of planning
5. What is management?Explain the nature of management.
6. Explain steps in decision making.
7. Explain importance of management.
8. Explain the roles of a manager.
9. Explain principles of organizing.
10. What is policy? Write the differences between policy and procedure.

MODULE 2

MODULE STRUCTURE

2.1 Objectives

2.2 **Organization:** Meaning

2.3 Characteristics

2.4 Process of Organizing

2.5 Principles of Organizing

2.6 Span of Management (meaning and importance only)

2.7 Departmentalisation

2.8 Committees–Meaning

2.9 Types of Committees

2.10 Centralization Vs Decentralization of Authority and Responsibility

2.11 **Staffing**-Need and Importance

2.12 Recruitment and Selection Process (Selected topics from Chapters 7, 8 & 11, Text 1).

2.13 **Directing and Controlling:** Meaning and Requirements of Effective Direction

2.14 Giving Orders

2.15 Motivation-Nature of Motivation

2.16 Motivation Theories (Maslow's Need- Hierarchy Theory and Herzberg's Two Factor Theory)

2.17 Communication – Meaning

2.18 Importance and Purposes of Communication

2.19 Leadership-Meaning

2.20 Characteristics

2.21 Behavioural Approach of Leadership

2.22 Coordination-Meaning

2.23 Types

2.24 Techniques of Coordination

2.25 Controlling – Meaning

2.26 Need for Control System

2.27 Benefits of Control

2.28 Essentials of Effective Control System

2.29 Steps in Control Process (Selected topics from Chapters 15 to 18 and 9, Text 1

2.30 Outcomes

2.1 OBJECTIVES

- Learn the meaning, principles and process of organising.
- Understand the significance of span of management, Committees and staffing.
- Know and relate the meaning of direction and examine the systems perspective of motivation.

2.2 ORGANIZATION: MEANING

An organisation is a social unit or human grouping deliberately structured for the purpose of attaining specific goals- Amitai Etzioni. The process of identifying and grouping of the work to be performed, defining and delegating responsibility and authority and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing their objectives- Allen.

2.3 CHARACTERISTICS

The every organization has,

1. A purpose, goal or goals.
2. A clear concept of major duties/ activities required to achieve the purpose.
3. Classification of activities into jobs.
4. Establishment of relationships between these jobs in order to ensure coordination .It is achieved through division of labor and delegation of authority.

A group of organisations sharing a common profile of characteristics is called as an “organization configuration”.

2.4 PROCESS OF ORGANIZING

Organizing means designing the organization structure. In performing the organizing function, the manager differentiates and integrates the activities of his organisation. It is described in terms of seven-step procedure.

1. Consideration of objectives:
   - The first step in organizing is to know the objectives of the enterprise.
   - Objectives determine various activities which need to be performed.
   - It is referred as “structure follows strategy”.

   Eg: structure enquired for army is different from structure required for a business enterprise.
2. Deciding organizational boundaries:
   - After consideration of objectives, next step is to decide what to do inside and outside the boundaries of organisation.
   - This means making manufacture –versus-buy choices for different goods and services.
   - Choice should be about, which part of the organisation interact directly with outside environment.

Eg: Should customers can be allowed to interact directly with workers in manufacturing unit or sales force.

- Therefore, choice defines the boundaries.

3. Grouping of activities into departments:

- Next step is to group all closely related and similar activities into departments and sections.

  Eg: activities of a manufacturing dept, is grouped into such departments as production, marketing, financing and personnel.

- Sometimes even diverse activities may be deemed closely related and grouped in one department.

4. Deciding which department will be key department:

- Key departments are those which are essential for the fulfillment of goals.
- Such key departments demand key attention.
- Based on experience , key department are formally identified and attention of top management is focused .This is known as "decibel management".
- Eg: advertising is a primary key to success will set up a separating advertising dept and report to president.

5. Determining levels at which various types of decisions are to be made:

- After deciding various departments, level at which various major and minor decisions are to be made must be determined.
- Each firm must decide for itself as how much decentralization of authority and responsibility it should have.

6. Determining the span of management:

- Next step in designing a structure is to determine the number of subordinates should report directly to each executive.
- If span is narrower, structure will be taller with several levels of management.
- Flat structure is generally desirable.

7. Setting up a co-ordination mechanism:

- A direct consequence of departmentalization is the need to co-ordinate the independent activities of the members of the organisation.
- Effective integration is as important as useful differentiation.
- Co-ordination mechanism enables the members of the organisation to keep sight of the organization's goals and reduce inefficiency and conflicts.

2.5 PRINCIPLES OF ORGANIZING

"If there is to be a systematic approach to the formation of organisation structure, there ought to be a body of accepted principles"-E.F.L Brech. The 16 priciples are as follows

1. Objectives:-

- Objectives influence the orgnisation structure hence objectives must be clearly defined.

2. Specialisation:-

- Effective organisation must provide specialization.
- The activities of the enterprise should be grouped according to functions and assigned to persons according to their specialization.

3. Span of control;-

- There is a limit to the number of persons that can be supervised effectively by one boss .Therefore , span of control should be minimum.

- This means, an executive should be asked to supervise a reasonable number of subordinates only say six.

4. Management by exception principle:-

- As the executives have limited time, only exceptionally complex problems should be referred to them and routine matters should be dealt with by the subordinates at lower levels.

5. Scalar principle:-

- This principle is sometimes known as “chain of command”.
- The line of authority from chief executive at the top to the first-line supervisor at the bottom must be clearly defined.

6. Unity of command:-

- Each subordinate should have only one superior whose command he has to obey.
- Multiple subordination must be avoided, for it causes uneasiness . disorder etc…

7. Delegation :-

- Proper authority should be delegated at the lower levels of organistion also.
- Each manager should have enough authority to accomplish the task assigned to him.

8. Responsibility:-

- The superior should be held responsible for the acts of his subordinates.
- No superior should be allowed to avoid responsibility by delegating authority to his subordinates.

9. Authority:-

- The authority is the tool by which a manager is able to accomplish the desired objective.
- Therefore authority of each manager must be clearly defined.

10. Efficiency:-

- The organisation structure should enable the enterprise to function efficiently and accomplish its objectives with the lowest possible cost.

11. Simplicity:-

- The organisation structure should be simple as possible and organisation levels should be minimum.

12. Flexibility:-

- The organisation should be adaptable to changing circumstances and permit connections in existing structure without disrupting basic design.

13. Balance:-

- There should be balance in the size of various departments, between centralization and decentralization , and among all types of factors such as human , technical and financial.

14. Unity of direction:-

- There should be one objective and one plan for a group of activities having the same objective.

15. Personal ability:-

- As people constitute an organisation, there is a need for proper selection, placement and training of staff.
- Organisation structure must ensure optimum use of human resources and encourage management development programmes.

16. Acceptability:-

- The structure of the organisation should be acceptable to the people who constitute it.
- If people oppose structure: Two things generally happen. It is modified gradually by people.

  It is used ineffectively.

2.6 SPAN OF MANAGEMENT (MEANING AND IMPORTANCE ONLY)

Span of management is also referred as span of control, span of supervision, span of authority & span of responsibility. It indicates number of subordinates who report directly to a manager. Determining appropriate span of management is important for two reasons.

1) First, span management affects be efficient utilization of managers & effective performance of their sub- ordinates.

- Too wide a span may mean that manages are overstraining themselves & that their sub – ordinates are receiving too little guidance or control.
- Too narrow a span of management means that managers are underlined & their subordinates are over controlled.

2) Second, there is a relationship between span of management & organization structure.

- A narrow spam of management results in a "for" organization with many levels of supervisions between top management and lowest organization levels.
- This creates more communication and cost problem.

Wide span for the same number of employees, means a 'flat' organization with fever management levels between top and bottom.

Ex:- suppose a sales manager as 16 sales men reporting directly to him.

This span of management is 16.Let us assume he feels that he is not able to work closely enough with each sales men.

Therefore he decides to reduce his span by adding 4 assistants sales manager.- each manger to supervise 4 sales men. Span of management is now 4 .

As shown in the figure below, he has added level of management through which communication between him and sales men must pass & he has added the cost of 4 additional managers.

2.7 DEPARTMENTALISATION

The horizontal differentiation of tasks or activities in to discrete segments is called "departmentalization" There are several bases for departmentalization, most bases conveniently follow in to one of two categories. Simon refers to as process departmentalization and purpose departmentalization

1. **<u>Process departmentalization</u>** :- There are two widely used & internally oriented arrangements for dividing work by process.

   a) Business or organizational function :

      i. Most widely used base for departmentalization is business or organizational function.

      ii. Each major function of the enterprise is grouped in to a department for ex : production , finance , and marketing department in a manufacturing company .

      iii. A sales manager in this type of departmentalization is responsible for the sale of all products manufactured by the company.

<u>Advantages: -</u>

1. It is a simple form of grouping activities where manufacturer render only limited number of service.
2. It promotes excellence performance because of department of expertise in only a narrow range of skills.
3. It promotes economics of scale.

<u>Drawbacks:</u>-

1. It fosters (provide case) sub goal loyalties. Each manager thinks only in terms of his own departmental goals does not think in terms of the company as the whole.

   For ex: - manufacturing department concentrate on meeting cost standards and deliver dates and neglect quality control. As a result sales or marketing department may be flooded with complains.

2. It does not offer training for overall development of a manager. Manager gets training only regarding his particular department.
3. In this form procedures are overly complicated.

b) <u>Technology:-</u>

Departmenalisation is done here on the basis of grouping of activities in the technologies involved in the manufacture of a product. For ex:- concern ,engage in the production of vegetable oil must have specific department for crushing , refining and finishing .

<u>Advantages :-</u>

1. It help the use of heavy and costly equipment in an efficient manner.
2. Each department is involved in doing a special type of work.This increases efficiency.
3. It is easier to evaluate & compare the performance of various product division.

<u>Drawbacks:</u>

1. Here workers feel less responsible for whole product.
2. When technology is sequential breakdown in one department slow the work of all other departments.
3. It is difficult to compare the performance of different technology based departments.

2. <u>Purpose departmentalization</u>

There are 5 externally oriented ways in which work can be depatmentalised by purpose.

a) <u>Products</u>

Here each major product , a self contained department is created.

Product depatmetalisation is the logical pattern to follow when each product requires raw materials manufacturing technology , & marketing methods that are marked different from those used by other products in organization.

Ex:- Hindustan lever [manufacture detergents , chemicals agriculture based products] have product based departments.

Advantages :

1. This form leads continuous & undivided attention to the product.
2. Work is more clearly evaluated.

Drawbacks:

1. Duplication of staff & facilities .Extra expenditure is (encounter)incurred in maintaining a sales force each product line.

b) Customers

An enterprise may be divided into number of departments on the basis of the customers that it services. Ex:- Educational Institutions may have separate departments for day , evening & correspondence courses.

Advantages : - Ensures attention to major customer groups.

Disadvantage :- Result in underutilization of resources & facilities in some departments.

c) Regions or Territory or Location

When several production or marketing units of organization are geographically dispersed in various locations, its logical to departmentalize those on the geographical basis.

Advantages :-

1. It maturates each regional head to achieve high performance.
2. It provides each regional head an opportunity to adopt to his local situation & customer need with speed & accuracy .
3. Easy to withdraw unprofitable ones.

Drawbacks:-

1. It gives rise to duplication of various activities.

d) **Division**

Large , multi product companies segment themselves into several independent profit centers , these units are called division

Each division is smaller than whole company & problems can be managed easily.

Ex:- L & T has several divisions. Infrastructure, heavy equipments , InfoTech etc .

All these have different board of directors & support functions.

e) **Time**

There departmentalization is done on the basis of timing their performance.

Ex:- A small machine shop grows in size , its owner has the choice of either adding extra shifts (departmentalization by time) or renting two more shops(departmentalization by territory)

2.8 COMMITTEES–MEANING

A committee is a body of persons appointed or elected to meet on an organized basis for the consideration of matters brought before it. “A committee is a group of persons performing a group task with the object of solving certain problems”. The area of operation of a committee is determined by its constitution. A committee may formulate plans, review the performance of certain units or may only have the power to make recommendation.

2.9 TYPES OF COMMITTEES

Committees can be broadly classified into advisory committees and executive committees.

Advisory committees have only a recommender’s role and cannot enforce implementation of their advice or recommendation. The examples of advisory committees are works committees, finance committees etc., Whenever committees are vested with line authority, they are called as **executive committees**. Unlike advisory committee, executive committees not only take decisions but also enforce decisions and thus perform a double role of taking decision and ordering its executive. The board of directors of a company is an example of an executive committee.

2.10 CENTRALIZATIONVS DECENTRALIZATION OF AUTHORITY AND RESPONSIBILITY

Delegation and Decentralization are not same; the differences between them are given below:

(1) Delegation is a process while decentralization is the end result of a deliberate policy of making delegation widespread in the organization.

(2) Delegation takes place between a superior and a subordinate while decentralization is company wide delegation as between top management and the departments or division of the organization.

(3) In delegation, delegator exercises supervision and control over the delegate, while in decentralization, top management exercises broad minimum control.

2.11 STAFFING-NEED AND IMPORTANCE

It is important to have a good organization structure but it is even more important to fill the jobs with the right people.

There are a number of advantages of proper & efficient staffing. There are as under:

1. It helps in discovering talented and competent workers and developing them to move up the corporate ladder.
2. It ensures greater production by putting the right man in right job.
3. It helps to avoid a sudden disruption of an enterprise's production run by indicating shortages of personnel, if any, in advance.
4. It helps to prevent under-utilisation of personnel through over manning and the resultant high labour cost & low profit margins.

5. It provides information to management for the internal succession of managerial personnel in the event of an unanticipated turnover.

2.12 RECRUITMENT AND SELECTION PROCESS

STEPS IN THE SELECTION PROCEDURE:

There is no standard procedure; the following is an example of a popular sequence of steps:

1. Application Blank

2. Initial Interview of the Candidate

3. Employment Tests

4. Checking References

5. Physical or Medical Examination

6. Final Interview

1. APPLICATION BLANK:

Filling of the "application blank" by the candidate is the first step in the process of selection. In this form, applicant gives relevant personal data such as his qualification, specialization, experience, firms in which he has worked etc. The application blanks are carefully scrutinized by the company with reference to the specifications prescribed for the jobs,& decides who are to be called for an interview.

2. INITIAL INTERVIEW OF THE CANDIDATE:

Those who are selected for interview on the basis of particulars in the application blank are called for initial interview by the company. It is the most important means for evaluating the appearance of the candidate.

3. EMPLOYMENT TESTS:

To test the ability of the candidate, some tests are used in the selection procedure. There are several types of tests that are used in selection procedure. The more commonly used are:

- APTITUDE TEST: This test measures the applicant's capacity to learn the skill required for a job. His test helps in finding how good he will perform after the training.
- INTEREST TEST: This is used to find out the type of work in which the candidate has an interest.
- INTELLIGENCE TEST: This test is used to find out the candidate's intelligence. By using this test, the candidate's mental alertness, reasoning ability, power of understanding etc are judged.
- PERFORMANCE OR JOB-SPECIFIC TEST: This test is used to measure the candidate's level of knowledge & skill in the particular job, in which he will be appointed.
- PERSONALITY TEST: Personality test is used to measure those characteristics of a candidate which constitute his personalities:-Self confidence, Judgment etc.

4. CHECKING REFERENCES:

If the candidate has been found satisfactory at the interview & if his performance is good in employment test, them employer would like to get some important personal details about the candidate, such as character, past history, background etc. Verified from the people mentioned in the application.

5. PHYSICAL OR MEDICAL EXAMINATION:

The objectives of this examination are: To check the physical fitness of the applicant for the job applied for. To prevent communicate diseases entering the business concern.

6. FINAL INTERVIEW:

This is conducted for those who are ultimately selected for employment. In this interview, the selected candidates are given an idea about their future prospects within the organization.

2.13 DIRECTING AND CONTROLLING:

MEANING

"Direction is the interpersonal aspect of managing by which subordinates are led to understand and contribute effectively and efficiently to the attainment of enterprise objectives."

REQUIREMENTS OF EFFECTIVE DIRECTION

Here are some important principles or requirements of effective direction

a) Harmony of Objectives

- Manager must direct the subordinates in such a way that the precise their personal goals to be in harmony with enterprise objectives.

  E.g., If employees are forced to work hard so that company's profit may increase, they probably will rot. But if they are told to so in their own interest (ex. To receive additional bonus or promotion) they will work hard.

b) Unity of Command

- This principle implies that the subordinates should receive orders and instructions from one superior only.
- Manager alone in his best position can select whichever directing techniques maximize productivity.
- Violating unity command leads to conflicting orders and divided loyalties.

c) Direct Supervision

- Every supervisor must maintain face to face direct contact with his subordinated.
- Direct supervision boosts the moral of employees, increases their loyalty and provides them with immediate feedback on how well they are doing.

d) Efficient Communication

- Communication is an instrument of direction. It is through communication that the superior gives orders, allocates jobs, explain duties and ensures performance.
- In communication, comprehension is more important than content.

- How much information is correctly understood by the subordinates is more important than what is said and how it is said. Proper feedback should be there.

e) Follow Through

- Direction is not telling the subordinates what they should do but also seeing that they do it in the desired way.
- The manager should follow through the whole performance of his subordinates and help them in their act, show their deficiency and do revise their direction

2.14 GIVING ORDERS

The order is a device employed by a line manager in directing his immediate subordinates to start an activity, stop it and modify it.

Mary Parker Follett principles in giving orders:

1. The attitude should be prepared in advance for carrying out an order. People will obey an order if only it appeals to their habit patterns.
2. Face to face suggestions are preferable to long distance orders.
3. Task of the manager is to make his subordinates perceive the need of the hour so that the situation communicates its own message to them.

- Orders may be communicated verbally or in writing.
- A manager may follow four types of methods to ensure compliance to his orders:

a) Force

Formula used in 'Force' is: "Do what I say or else..." Employee will be published if he does not follow the orders.

b) Paternalism

Formula followed in ‘Paternalism’ is: “Do what I say because I am good to you”.

- The result here is that the employees develop a feeling of gratitude and in debtness toward the manager which they do not like.
- Paternalistic manager provides rewards first and expects the compliance to follow.

c) **Bargain**

The formula followed in ‘Bargain’ is: “You do as I say in certain respects and I do as you say in certain other respects”. The result of this method is that the manager’s command is gradually reduced.

d) **Harmony of Objectives**

The formula followed in ‘Harmony of Objectives’ is: “If we perform together, each will achieve his goal.”

2.15 MOTIVATION-NATURE OF MOTIVATION

Motivation ("to move"), it is the managers ability to move other people in the right direction day after day. Motivation concerns those dynamic processes which produce a goal-directed behavior. What controls human behavior & gives direction to it is not the goal or he incentive but the need. The Goal which is the external to the individual only provides him with opportunity for satisfying his internal needs.

2.15.1 NATURE OF MOTIVATION

The following points reveal the complexities involved in understanding true motivation:

1. Individuals differ in their motives:

The goals to which individuals aspire differ and also their motives differ. There is no single motive that determines how all workers will react to the same job & therefore, there can be no single strategy that will keep motivation & productivity high to deal with human diversity.

2. Sometimes the individual himself is unaware of his motive:

The presence of unconscious motive explains why man cannot verbalize his motive to attain certain goals or the even tell what his goals are. eg:- A girl disliked foreman, because his physical looked like his step-father, whom she hates.

3. Motive change:

Hierarchy of motives of each individual called "structure" is not fixed. It changes from time to time. An individual's primary motive today may not be primary tomorrow; even he may continue to behave in the same way. eg:- A temporary worker produce more in the beginning to become permanent. When made permanent he may continue to produce more this to gain promotion & so on.

4. Motives are expressed differently:

One individual with a strong security motive may play it safe, & avoids taking responsibility for fear of failing & being fired. Another individual with the same security motive may seek out responsibility for fear of being fired for low performance. Different expression completely mislead a manager because he doesn't know what

5. Motives are complex:

It’s different to explain & predict the behavior of workers. The Introduction of a favorable motivational device may not achieve the desired ends, if it brings opposing motives into play.

6. Multiple motives make the choice of goals difficult for on individual:

There can be multiple operate simultaneously to incense an individual behavior. Three types of motivational conflicts which make the person's choice of goal conflicts:-

1. Approach-approach conflict-> where the person desires to do two things which he likes equally. Well, but it is possible to do only one.
2. Avoidance-Avoidance conflict-> where the person is forced to choose between two alternatives, both is considered equally undesirable by him.
3. Approach-avoidance-> where the persons is attracted to the positive characteristics of his choice, bit wants to avoid it negative characteristics.

2.16 MOTIVATION THEORIES (MASLOW'S NEED- HIERARCHY THEORY AND HERZBERG'S TWO FACTOR THEORY)

It is classified under three broad heads:

1. Content theories
2. Process theories
3. Rein enforcement theories

Content theories tell us what motivates an individual. They throw light on various needs & incentives which cause behavior. Some important Content theories under this:-

1. Maslow's need hierarchy theory
2. Herzberg's two-factor theory

MASLOW'S NEED- HIERARCHY THEORY

At any given time, some of these needs are satisfied & owner is unsatisfied. An unsatisfied need is the starting point in the motivation process. When a person has an unsatisfied need, he/she attempts to identify something that will satisfy the need. This is called Goal. Once the goal is identified, the person takes action to reach that goal & thereby satisfy the need. According to A.H.Maslow, needs are arranged in a hierarchy or ladder or five successive categories.

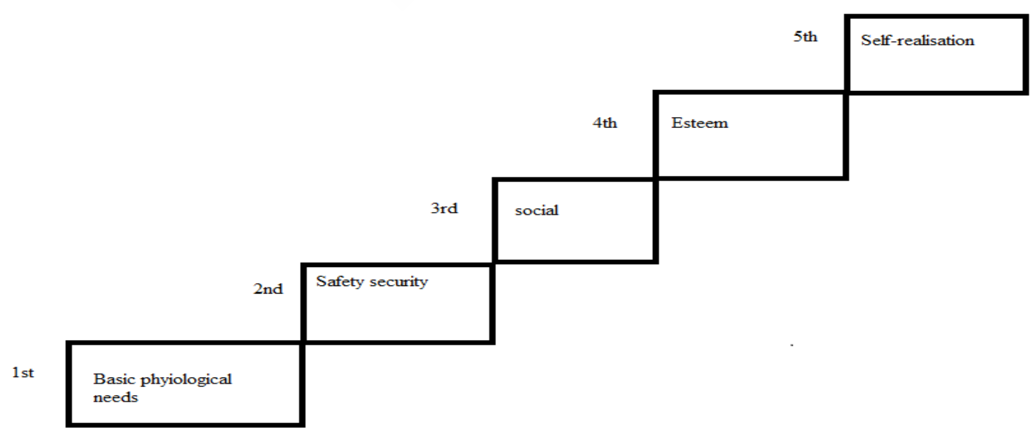

Figure 2.2 :- Order of Priority of human needs

1. Physiological Needs:-

   These are the basic needs for satisfying life itself. Such as food, water, air etc. To survive these needs must be partially satisfied.

2. Security Needs:-

   Economically secure:- This include protection arbitrary lay-off & disaster.

   Psychologically secure:- It relates to a man's confidence that he will be able to deal with problem in future.

3. Social needs:-

   Social needs are the needs to associate with other people & be accepted by them; to love & be loved. man finds satisfaction in association with others & he feels real deprivation when it is not possible.

4. Egoistic or esteem needs:-

   These are the needs, which relate to respect & prestige. A need for dominance is thought of the one of egoistic needs. Self-esteem:- Is an individual's need to feel inside himself that he is worthy. Esteem:- He has also need that others think he is worthy.

5. Self-fulfillment needs:-

   These are the needs for realizing one's potential. It include the need for realizing one's capabilities to fullest-for becoming what one is capable of becoming.

This need is also called need for self-realization or self-activation. According to maslow, people attempt to satisfy their physical need first. As long as the needs are unsatisfied, they dominate behavior. Nest step they become dominant motivational force. This process continues up the need hierarchy. As each level of needs becomes relatively satisfied, the next higher level becomes dominant.

Herzberg's two-factor theory

Fredrick Hertzberg and his associates have proposed a two factors theory of motivation. In one group of needs are such things as company policy and administration, supervision, working conditions, interpersonal relations, salary, job security and personal life. These are called as dis-satisfiers and not motivators. If they exist in a work environment, they yield no dissatisfaction. Their existence does not motivate but their absence result dis-satisfaction. Hertzberg called these factors as **hygiene or maintenance factors**. The second group he listed certain satisfiers and therefore **motivators**, which are related to job content. They include achievement, recognition, challenging work, advancement and growth in the job.

Table 4.1: Hygiene factors and motivators

Hygiene factors	**Motivators**
Status	Challenging work
Interpersonal relations	Achievement
Quality of supervision	Responsibility
Company policy and administration	Growth in the job.
Working conditions	Advancement
Job security	Recognition

2.17 COMMUNICATION – MEANING

According to newman and summer, “communication is an exchange of facts, ideas, opinion or emotion by two or more persons”. If the information is not understood by the receiver in the same meaning in which its sender wants him to understand it, the purpose of communication is defeated. “In short, communication is not merely transmission of information from one person to another but also correct interpretation and understanding of the information”.

2.18 IMPORTANCE AND PURPOSES OF COMMUNICATION

2.18.1 Importance of communication

The communication is important because of the following:

1) Every aspect of managers job may it be planning, organising, staffing, directing and controlling involves communication researchers have shown that about 75% of managers time is spent in communication.

2) Managers do not deal with the "things" but with "information about things".

3) Communication is the essence of organised activity basis for direction and leadership.

4) Communication renders the complexity of business intelligible and workable.

5) The better the communication, the more efficient the work performance.

2.18.2 Purpose of communication

Some important purposes which communication serves,

1. Communication is needed in the recruitment process to persuade potential employees of the merits of working for the enterprise selected people are told about the companies organisation structure, policies etc .
2. Communication is needed in the area of orientation to make people acquainted with peers, superiors and with company's rules and regulations.
3. Communication is needed to enable employees to perform their functions effectively. Employees need to know their job's relationship and importance to the overall operation.
4. Communications needed to acquaint the subordinates with the evaluation of their contribution to enterprise activity.
5. Communication is needed to teach employees about personal safety on the job.
6. Communication is of vital important in projecting the image of an enterprise in the society.

7. Communication helps the manager in his decision process. The manager must make a choice of usual and essential information which should reach him.

8. Communication helps in achieving co-ordination. A good communication synthesis for all interdependent activities which is carried out in different departments of an organisation.

9. Communication promotes cooperation and industrial peace. Communication helps in promotes mutual understanding, co-operation and goodwill between the management and workers.

10. Communication increases managerial efficiency.

<u>In summary, purposes of communication are:</u>

To information and understanding necessary for group effort.(i.e,skill to work).To provide the attitudes necessary for motivation,cooperation and job satisfaction (i.e,the will to work).

2.19 LEADERSHIP-MEANING

Leadership is the ability to persuade others to seek defined objectives enthusiastically

2.20 CHARACTERISTICS OF LEADERSHIP

Some important characteristics are:

1. Leadership implies the existence of followers.
2. Leadership involves a community of interest between the leader of his followers
3. Leadership involves an unequal distribution of authority among leaders and group members.
4. Leadership implies that leader can influence can influence this followers or subordinates in addition being able to give their followers and subordinates legitimate.

2.21 BEHAVIOURAL APPROACH OF LEADERSHIP

On the basis of motivation leadership style can be positive or negative style. In positive style a leader motivates his followers to work hard by offering them rewards, for example, higher bonus. In negative styles, a leader forces his followers to work hard and punishes them for lower productivity. On the basis of Authority, leadership styles are divided into three types namely autocratic, democratic and free-rein.

Autocratic leadership: An autocratic leader is one who dominates and drives his subordinates through coercion, command and the instilling of fear in his followers. An autocratic leader alone determines policies, plans and makes decisions. He demands strict obedience. Such leaders love power and love to use it for promoting their own ends. They never like to delegate their power for they fear that they may loose their authority. The merits of this type of leadership is that, it can increase efficiency, save time, and get quick results under emergency conditions, chain of command and division of work are clear. The demerits are people are treated machine-like cogs without human dignity, one way communication without feedback and the leader receives little or no input from his sub-ordinates for his decision-making which is dangerous in the current dynamic environment.

Democratic leadership: This style of leadership is also known as participative leadership. As the name itself indicates, in this style, the entire group is involved in goal setting and achieving it. A democratic leader follows the majority opinion as expressed by his group. Subordinates have considerable freedom of action. The leadershows greater concern for his people's interest, is friendly and helpful to them. He is always ready to defend their subordinates individually and collectively. This type of leadership encourages people to develop and grow, receives information and ideas from his subordinates to make decisions, and boosts the morale of employees. The demerits of this type of leadership are (1) Some leaders may use this style as a way of avoiding responsibility, (2) Can take enormous amount of time for making decisions.

Free-rein: In this type of leadership, the leaders exercise absolutely no control. He only provides information, materials and facilities to his subordinates. This type of leadership is employee centered and the subordinates are free to establish their own goals and chart out the course of action. This type of leadership can be disaster if the leader does not know well the competence and integrity of his people and their ability to handle this kind of freedom.

2.22 COORDINATION-MEANING

According to Terry, "**Coordination deals with the task of blending efforts in order to ensure successful attainment of an objective. It is accomplished by means of planning, organizing directing and controlling**". Terry considers coordination as a permeating function of management passing through the managerial functions of planning, organizing, directing and controlling. In the words of Mooney and Raley, “Coordination is the orderly arrangement of group efforts to provide unity of action in pursuit of a common purpose”.

2.23 TYPES

Internal Coordination:

Coordination among the employees of the same department or section among workers and managers at different levels among branch offices plants departments is called internal coordination.

External Coordination:

Coordination with customers, Suppliers, Government and outsider with whom the enterprise has business connections is called External Coordination.

Vertical Coordination:

Is what exists within a department where the departmental head is called upon to coordinate the activities of all those placed below him.

Horizontal Coordination:

It takes place sideways. It exists between different departments such as production, sales, purchasing, finance and personnel.

Procedural Coordination:

The generalized description of the behaviours and relationship of the members of the organisation.

2.24 TECHNIQUES OF COORDINATION

Managers can use a number of techniques to enlist coordination. Some of the techniques of coordination are discussed below:

1. Clearly Defined Objectives

Each and every organization has its own objectives. These objectives would be clearly defined. Then the employees of all the organization should understand the objectives of the organization well. Unity of purpose is a must for achieving proper coordination.

2. Effective Chain of Command

There is a line of authority in every enterprise which indicates as to who is accountable to whom. The line of authority and responsibility should be clearly defined to achieve coordination. Clear cut authority relationship help in reducing conflicts among different positions, particularly line and staff which is essential for sound coordination.

3. Precise and Comprehensive Programmes and Policies

Laying down well defined programmes and policies is another measure for achieving effective coordination. This brings uniformity of actions because everybody understands the programmes and policies in the same sense.

4. Planning

Planning ensures coordinated efforts. Under planning, target of each department dovetail with the targets of all other departments. For example fixing the target of 50,000 units of additional production and sale for production and sales department respectively, the head of the organization can be fairly sure that the work of the two departments would be coordinated since their targets so demand.

5. Cooperation

Cooperation is the result of better relations among employees of the organization. Cooperation can be brought about by keeping harmonious relations among the people in the organization by encouraging informal contacts to supplement formal communication and using committees for exchange of ideas and views at the top level.

6. Liaison of Officers/Departments

A person who acts as a link between two persons is called a liaison officer. The external coordination is obtained through him. Many large organizations depend on this officer to maintain cordial relations with government and outsiders. In some cases, where there is a large volume of contact between two departments, a liaison department evolves to handle the transactions. This typically occurs between sales and production departments. For example, a packaging company that is processing a large order of containers might have a liaison department to make sure that the production department is meeting the clients specifications and that the delivery will take place on time.

7. Induction

Inducting the new employee into the new social setting of his work is also a coordinating mechanism. This device familiarizes the new employee with the organization's rules and regulations, its dominant norms of behaviour, values and beliefs and integrates his personnel goals with the organizational goals.

8. Incentives

Incentives may be in the form of increments in the scale of pay, bonus, profit sharing etc. These schemes of incentives promote better team spirit which subsequently ensures better coordination. In particular, profit sharing promotes team spirit and better cooperation between superiors and subordinates, between employees and employers. Mutuality of interest reduces stride and ensures better coordination.

9. Workflow

A workflow is the sequence of steps by which the organization acquires inputs and transforms them into outputs and exports these to the environment. It is largely shaped by technological, economic and social considerations and helps in coordination.

2.25 CONTROLLING – MEANING

According to E F L Brech, "Control is checking current performance against predetermined standards contained in the plans, with the view to ensuring adequate progress and satisfactory performance". In the words of George R. Terry, "Controlling is determining what is being accomplished, that is, evaluating the performance and if necessary applying corrective measures so that the performance takes place according to plans".

2.26 NEED FOR CONTROL SYSTEM

1. To measure Progress.
2. To Uncover Deviations such as Change, Complexity, Mistakes and Delegation
3. To indicate corrective action
4. To transmit corrective action to the operation.

2.27 BENEFITS OF CONTROL

1. Increase Productivity
2. Reduces defects and mistakes
3. Helps meet deadline
4. Facilitates Communication
5. Improves safety
6. Lowers cost and
7. Gives the workers control over their Environment.

2.28 ESSENTIALS OF EFFECTIVE CONTROL SYSTEM

The essentials of a sound control system are as follows:

(1) ***Suitable*****:** The control system should be appropriate to the nature and needs of the activity. For example, a machine based method of production requires control system which is different from the system that is used in labour intensive methods of production. Thus every enterprise should develop such a control system it would serve its purpose.

(2) ***Timely and forward looking*****:** The control system should be directed towards future. It should report all the deviations from the standards quickly in order to safeguard the future. The feedback system should be as short and as quick as possible. If the control reports are not directed at future, they are of no use as they will not be able to suggest the types of measures to be taken to rectify the past deviations.

(3) ***Objective and comprehensible*****:** The control system should be both objective and understandable. Objective controls specify the expected results in clear and definite terms and leave little room for the argument by the employees. They provide employees with direct access to any additional information which they may need to perform their task. Employees are not made to go up and down the hierarchy to get the information.

(4) ***Flexible***: Control system should be flexible so that it can be adjusted to suit the needs of any change in the environment. It should be adoptable to new developments including the failure of the control system itself.

(5) ***Economical***: Another requirement of a good control system is economy. The benefits derived from the control system should be more than the cost involved in implementing it.

(6) ***Control by exceptions***: This is also known as "management by exception" according to this principle, only significant deviations from standards, whether positive or negative requirement management as they constitute exceptions. An attempt to go through all deviations tends to increase unnecessary work and decrease attention on important problems.

(7) ***Prescriptive and operational***: A control system in order to be effective and adequate, must not only detect deviations, but should also provide solutions to the problems that cause deviations. In other words, the system should be prescriptive and operational. It must disclose where failures are occurring, who is responsible for them and what should be done about them. It must focus more on action than on information.

(8) ***Acceptable to organization members***: The system should be acceptable to organization members. When standards are set unilaterally by upper level managers, there is a danger that employees will regard those standards of unreasonable or unrealistic. They may then refuse to meet them.

(9) ***Motivation***: A good control system should be employee cantered. The control system is designed to secure positive reactions from employees. If large deviations are found, the employees will be properly directed and guided instead of being punished. The very purpose of a control is prevention and not punishing.

2.29 STEPS IN CONTROL PROCESS

There are three basic steps in a control process namely establishment of standards, measurement of performance and comparing the performance with the standards and taking corrective action.

1. ***Establishment of standards***: The first step in control process is the setting up of standards of performance. A standard acts as a reference line or a basis of actual performance. Standards should be set precisely and in quantitative terms. Standards expressed in vague or general terms such as "Costs should be reduced" or "rejections should be reduced" are not specific as "cost should be reduced by 10 percent" or "rejections should be reduced to 0.5 percent". Standards are used as the criteria or benchmarks by which performance is measured in the control process. Since standards cannot be set for entire operations, each organization must first develop its own list of key result areas for the purpose of control. Different standards of performance are set up for various operations at the planning stage. As a matter of fact, planning is the basis of control. Standards are to be flexible in order to adopt changing conditions. For example, a new salesman who seems to be an above average performer should have his sales standard adjusted accordingly. Every objective, goal, policy, procedure and budget becomes a standard against which actual performance might be measured. However, in practice different types of standards used are:

(1) Physical standards such as units of production per hour.

(2) Cost standards, such as direct and indirect cost per unit.

(3) Revenue standards such as sales per customer.

(4) Capital standards such as rate of return of capital invested.

(5) Intangible standards such as competency of managers and employees.

2. *Measuring and comparing actual performance with standards*: The second step in the control process is measuring the actual performance of individuals, group or units and comparing it with the standards. The quantitative measurement should be done in cases where standards have been set in numerical terms. This will make evaluation easy and simple. In all other cases, the performance should be measured in terms of qualitative factors as in the case of performance of industrial relations manager. His performance should be measured in terms of attitude of workers, frequency of strikes and morale of workers. In general, measurement of performance can be done by personal observation as in the case of the subordinates being observed while they are engaged in work or by a study of various summaries of figures, reports, charts and statements.

3. *Taking corrective action*: The final step in the control process is taking corrective action so that deviations may not occur again and the objectives of the organization are achieved. This will involve taking certain decisions by the management like replanning or redrawing of goals or standards, reassignment or classification of duties. It may also necessitate reforming the process of selection and training of workers. This control function may require change in all other managerial functions. If the standards are found to be defective, they will be set up again in the light of observations. Joseph Massie has pointed out that a manager may commit two types of mistakes at this stage. The first is, he may take action when no action is needed. The second is he may fail to take action when some corrective action is needed. A good control system should provide some basis for helping the manager estimate the risks of making either of these types of errors. Of course, the final test of a control system is whether correct action is taken at the correct time.

2.30 Outcome

Students will be able to explain the meaning, Principles of organising, Know the significance, Span of management, Committees, staffing motivation and Control system.

Recommended Questions:

1. Explain the process of organizing.
2. Explain Nature and importance of staffing.
3. Explain the process of Recruitment.
4. What is meaning of direction. Explain steps involved in controlling.
5. Define Leadership. Explain briefly any two leadership styles. Define the term organization. Explain the important steps in the process of organizing.
6. What is staffing. Explain the steps involved in the selection process.
7. Explain Maslow's need-Hierarchy Theory.
8. What is communication? Discuss the purpose of communication
9. Explain the essentials of an effective control system.

MODULE 3

MODULE STRUCTURE

3.1 **Social Responsibilities of Business:** Meaning of Social Responsibility

3.2 Social Responsibilities of Business towards Different Groups

3.3 Social Audit

3.4 Business Ethics and Corporate Governance (Selected topics from Chapter 3, Text 1).. **(Text 1)**

3.5 **Entrepreneurship**: Definition of Entrepreneur

3.6 Importance of Entrepreneurship

3.7 concepts of Entrepreneurship

3.8 Characteristics of successful Entrepreneur

3.9 Classification of Entrepreneurs

3.10 Myths of Entrepreneurship

3.11 Entrepreneurial Development models

3.12 Entrepreneurial development cycle

3.13 Problems faced by Entrepreneurs and capacity building for Entrepreneurship (Selected topics from Chapter 2, Text 2)

Course Objective:

- Learn the concepts of Social responsibilities of business.
- Understand the meaning and importance of entrepreneurship

3.1 Social Responsibilities of Business: Meaning of Social Responsibility

Meaning of social responsibility

- Social responsibility is defined in various ways
- Adolph berle has defined social responsibility as the " manager's responsibility to public consensus" this means, there cannot be the same set of social responsibility applicable to all countries in all times
- According to Keith Davis, the term "social responsibility " refers to two types of business obligations.
- Socio- economic obligation
- Socio-human obligation

Socio-economic obligation of every business is to see that the economic consequences of its actions do not adversely affect public welfare

Socio-human obligation of every business is to nurture and develop human values (such as morale, cooperation, motivation and self realization in work)

3.2 Social responsibility of business towards different groups

A businessman's social responsibility to each of these parties are briefly enumerated below

- Towards the consumer and community
- Towards employees and workers
- Towards shareholders and other businesses
- Towards the state

1.Towards the consumer and the community : Production of cheap and better quality goads and services by developing new skills, innovations and techniques by locating factories and market at proper places and by rationalizing the use of capital and labor.

- Leveling out reasonable variations in employment and production through accurate forecasts
- Deciding priorities of production through accurate forecast
- Providing social audit
- Honoring contracts and following honest trade practices
- Preventing the creation of monopolies
- Providing for after scale serving
- Ensuring hygienic disposal of smoke and waste in making the town environment aesthically satisfying
- Activating better public relations by giving to community, true, adequate and easily intelligible information about its working
- Supporting education, slum clearance and similar other programs

2.Towards employees and workers

- A fare wage to the workers
- Just selection, training and promotion
- Social Security measures and good quality of work life
- Good human relationship
- Freedom, self respect and self realization. Make employee more satisfying and rewarding
- Increase in productivity and efficiency by recognition of merit, by providing opportunities for creative talent and incentives

3.Towards shareholders and other business

- Promoting good governance through internal accountability and transparency
- Fairness in relationships with competitors

4. Towards the state

- Active participation and direct identification with any political party
- Observing all laws of land which may have the following objectives

A) To allocate limited resources according to social priorities and preferences

B) To inforce maximum production

3.3 Social Audit

A social audit is a systematic study and Evaluation of the organisations social performance as distinguished from its economic performance.

Benefits:

1. It supplies data for comparison with the organisation ‘social policies and standards. The Management can determine how well it is living up to its social objectives .
2. It provides information for effective response to external groups which make demands on the organisation.
3. It develops a sense of social awareness among all employees.
4. It provides data about the cost of social programs.

3.4 Business Ethics and Corporate Governance

Business ethics is the application of moral principles to business problems.

1. Ethics involve goodness or badness of an act.
2. Study of ethics relevant issues are sexual harassment, Discrimination in Pay and Promotion
3. Right to Privacy.

Sexual harassment in the workplace can be defined as unwelcomed sexual favour or other verbal or physical conduct of sexual nature.

Discrimination against women in pay and promotion opportunities is also ethical. Descrimination against women in promotion is cited with the reason"Glass Ceiling Effect" Right to privacy raises Several questions.

3.5 Entrepreneurship: Definition of Entrepreneur

The word "ENTREPRENEUR" is derived from the French verb "ENTREPRENDRE"("to undertake").The word was originally used to describe people who "take on the risk" between buyers & sellers or who "undertake" a task. Such as starting a venture.

"An entrepreneur in any given economy is an individual who introduces something new in the economy."____"JOSEPH SHUMPTER**"**

"He searches for change, responds to it & exploits opportunities. Innovation is the specific tool of an entrepreneur."____"PETER.F.DRUCKER"

3.6 Importance of Entrepreneurship

*****Entrepreneurial development is a key to economic development.

*****Entrepreneurs are seeds of industrial development and fruits of industrial development are

i) Greater employment opportunities, to unemployed youth.

ii) Increase in per-capita income.

iii) Higher standards of living.
iv) increased individual saving.

v) Revenue to the government in the form of income tax.

vi) Sales tax, export duties, imports duties.

vii) Balanced regional development.

3.7 concepts of Entrepreneurship

>Entrepreneur is a person who creates an enterprise.

>The process of creation is called an "ENTREPRENEURSHIP".

>The word "ENTREPRENEUR" has been taken from French, where it means one who organizes musical & other entertainment.

>The word "ENTREPRENEUR" is derived from French verb entreprendre which means "to undertake".

>This refers to those who "undertook" the risk of new enterprises.

>In the earlier part of the 16th century, the French men who organized & led military expeditions were referred to as entrepreneurs.

>French tradition regarded an entrepreneur as a person translating a profitable idea into a productive activity.

>In 1700 architects & contracts of public works were called entrepreneurs.

>In economics & commerce, an entrepreneur is an economic leader who possesses the ability to recognize opportunities for the successful introduction of new commodities, new techniques, new sources of supply &organise labour into a running concern.

>In early 16th century, the entrepreneur was denoted as a leader who bought a thing at a certain price & sold it at uncertain price, making a profit.

3.8 Characteristics of successful Entrepreneur

The following are some characteristics that every successful entrepreneur must possess.

a. Creativity:

- Creativity and Innovation are often used to mean the same thing but each has unique connotation.
- Innovation is the process of doing new things that creativity is a pre requisite to innovation.
- The creative process for an idea involves five stages –germination, preparation, incubation, illumination and verification.

➢ A model of the creative process is shown in figure below

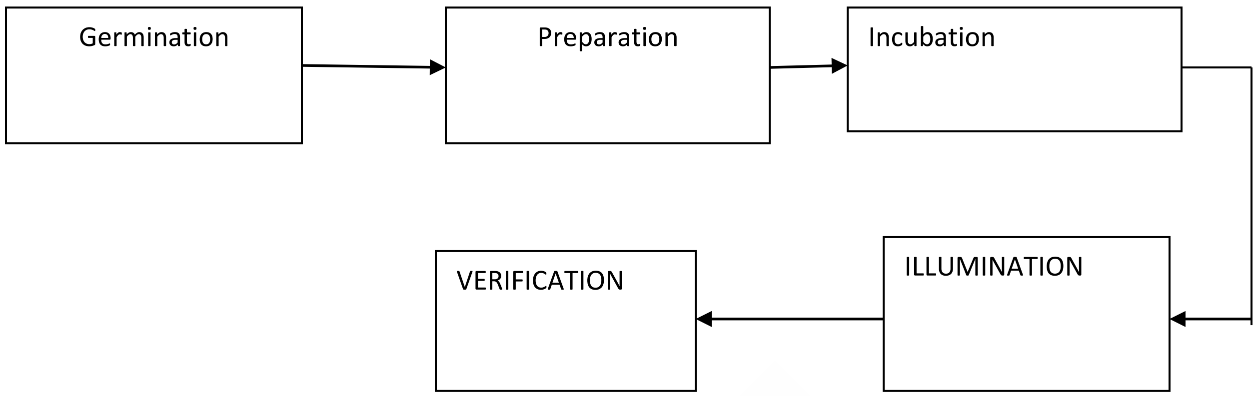

Figure 1.2: Creative Process

- Germination: The germination stage is the seeding process. Most creative ideas can be traced to an individuals interest in or curiosity about a specific problem or area of study.
- Preparation: Once the seed of curiosity has taken from as a focused idea, creative people embark on a conscious search for answers.

  Example: idea of a new product leads to research in business. Inventors will set up laboratory experiments, designers will begin engineering new product ideas.
- Incubation:

➢ Individuals sometimes concentrate intensely on an idea ,but more often they simply allow ideas time to grow without intentional effort.

➢ Incubation is a stage of mulling it over while the subconscious intellect assumes control of the creative process.

- Illumination:

➢ The fourth stage, occurs when the idea resurfaces as a realistic creation. Illumination may be triggered by an opportunity incident.

- The important point is that most creative people go through many cycles of preparation and incubation, searching for that catalyst of an incident that can give their idea full meaning.

- Verification:

- Entrepreneurial effort is essential to translate an illuminated idea into a verified, realistic and useful application.
- Verification is a stage of development that refines knowledge into application.
- During this stage, many ideas prove to be impossible and have little value.

b. Innovation:

- Entrepreneurs innovate. Innovation is the specific instrument of entrepreneurship.
- Innovation creates a resource, and successful entrepreneur aim high. They are not content simply to improve on what already exists.
- They try to create new different values and new and different satisfaction to convert a "material" into a "resource" or combining existing resources in a new and more productive organisation.

c. Dynamism:

- Innovation together with dynamism constitutes a potential combination of prosperity.
- Dynamism revises the targets of the enterprise upward time and again.
- A dynamic entrepreneur is always pragmatic.
- An entrepreneur tends to approach problems to solve them rather running away from them.
- He must believe in, create, and practice "win –win" situations.
- Profitable enterprise are known for their dynamic and aggressive leadership.

d. Leadership:

- Leadership is the basic quality of an entrepreneur.
- The quality of his leadership is clear in mode of handling a problem, generating resources and taking others into ones own stride.

e. Team building:

- An entrepreneur should have an ability to build a team.
- A good team will be able to share knowledge, core competency and goals.
- With mutual trust, team work gives a healthy organizational climate needed for developing a perfect team.

f. Achievement motivation:

Entrepreneurhave a high need for achievement and are guided by their inner self motivating their behavior towards accomplishment.

g. Problem solving:

- It is important that an entrepreneur should be able to solve problems and not avoid them.
- A formal problem solving model helps entrepreneur solve problems on a logical manner.
- Model consists of six steps
  - Define problem.
  - Gather information.
  - Identify various solutions.
  - Evaluate alternatives and select best opinion.
  - Take action.
  - Evaluate the action taken.

3.9 Classification of Entrepreneurs

a. Innovative entrepreneur:

Such entrepreneur introduces new goods or new methods of production or discover new markets or recognize their enterprises.

b. Imitative entrepreneur or adaptive entrepreneur:

Such entrepreneur do not innovate themselves , but initiate techniques and technology innovated by others suitable for underdeveloped countries.

c. Fabian entrepreneur:

- They display certain only when there are changes required.
- They change only when there is an imminent threat to existence of their enterprise.

d. Drone entrepreneur:

Such entrepreneur are characterized by a die-hard conservation and may be prepared to suffer the loss of business.

1. Based on the developmental angle:

a. Prime mover:

This entrepreneur sets a powerful sequence of development, expansion, and diversification of business.

b. Manager:

Such an entrepreneur does not initiate expansion and is content just staying in business.

c. Minor innovator:

This entrepreneur contributes to economic progress by finding better use for existing resources.

d. Satellite:

This entrepreneur assumes a supplier's role and slowly moves towards a productive enterprise.

e. Local trading:

Such an entrepreneur limits his enterprise to the local market.

2. Based on types of entrepreneurial business:

a. Manufacturing:

An entrepreneur who runs such a business actually produces the products that can be sold using resources and supplies.

For ex: Chemical and related products

b. Wholesaling:

An entrepreneur with such a business sells products to the middle man.

c. Retailing:

An entrepreneur with such business sells products directly to the people who use or consume them.

d. Service:

An entrepreneur in this business sells services rather than products.

3. Based on the nine personality type of entrepreneurs:

a. The improver:

As a improver , you are focused on using your company as a means to improve the world

b. The advisor:

This business personality type will provide an extremely high level of assistance and advice to customers.

c. The superstar:

Here the business is centered on the charisma and high energy of the superstar CEO.

d. The artist:

This business personality is the reserve but a highly creative type.

e. The visionary:

A business built by s visionary will often be bored on the future vision and thoughts of the founder.

f. The analyst:

If you run a business as an analyst your company focus is on fixing problems in a systematic way.

g. The fireball:

A business owned and operated by a fireball is full of life, energy and optimism.

Ex: publisher of Forbes magazine.

h. The hero:

You have an incredible will and ability to lead the world and your business through any challenge.

Ex :CEO of GE.

i. The healer:

If you are healer, you provide nurturing and harmony to your business.

3.10 Myths of Entrepreneurship

(a) Entrepreneurs are born ,not made

*according to this myth, the characteristics of entrepreneur cannot be taught or learned. they are innate traits with which a person must be born.

*however now this myth is dispelled.

*like all disciplines, entrepreneurship has models, processes and case studies that allow the topic to be studied and the traits are acquired by training and development.

(b)entrepreneurs are academic and social misfits

*it is believed that entrepreneurs are academically and socially ineffective because they have started successful enterprises after dropping of school /quitting jobs.

*but today the entrepreneur is considered a hero socially, economically and academically.

*the entrepreneurs is now viewed as a professional.

(c) entrepreneurs fit an ideal profile

*researches have presented checklists of characteristics of a successful entrepreneur.

*those list are neither validated nor complete, they were based on case studies and research

* therefore standard entrepreneurial profiles hard to compile.

(d)all you need is money to be an entrepreneur

*it is true that a venture needs capital to survive

*yet having money is not only, Defensive wall against failure, other reason for failure poor planning, managerial incompetence

(e)all you need is luck to be an entrepreneur

*being in “the right place at right time” is always an advantage *but “luck happens when preparation meets opportunity”

*prepared entrepreneurs who sieze on opportunity when it arises often appear to be “lucky”

(f)a great idea is the only ingredient in a recipe for success

*along with great idea, adequate finance demand for the product and good management

* “the quality of management will determine the success/failure of the venture”.

(g) my best friend will be a great business partner

*teaming up with your best friend just because you share an idea is not good

*misunderstanding will arise like who should be in the office first, who is in change of supervising the office and so on

(h)having no boss is great fun

*if you thought your boss was way too demanding so watch out for your vendors, bankers and customers

*since customers can make or break you, their wish often ends up being your command

(i)i can make lots of money

*for most people it is years, not months before the money starts coming in.

*till that happens, you will have to miss the security of your monthly pay cheque

(j)I’ll definitely become successful

*put it down to plain optimise ,egoism or a survival strategy, but most owners refuses to accept the possibility of failure

*the no of people who fails are legion

3.11 Entrepreneurial Development models

The model suggested fall in 3 following categories

a)psychological model

b)sociological models

c)integrated models

a)psychological models

*m c delland , in his model, he describes more importance to achievement motives. He also suggests motivation training programme as the policy measure, which will, make entrepreneurs really winning and eager to exploit the new opportunities provided

*jhon kunkel , considered entrepreneurial supply by giving behavioural model

*his model suggest that entrepreneurial behaviour is a function of surrounding social incentives

b)sociological models

*franks theory of entrepreneurship say about changes based upon society's incorporation od relative sub groups.

*the relativeness of a sub group which has a low status in large society will have entrepreneurial behaviour if group has better industrial resources than other in society of same level

*franks model suggested "creation of supporting institutions" in society as the determinant of entrepreneurs

c)integrated models

*t v Rao in "entrepreneurial disposition" has included the following factors

*(1)need for motive is the dynamic

(2)long term involvement is the goal either at thinking level or at activity level i.e, viewed as a target to be fulfilled

(3)personal, social and material resources are related to entry and success in the area of entrepreneurial activity

(4)socio-political system should be developed as suitable for establishment and development of his enterprise

3.12 Entrepreneurial development cycle

The whole process of development an entrepreneurs, making him start a venture, supporting and sustaining him includes a cyclic process

M.P Akhori suggested the entrepreneurial development cycle as shown in figure below

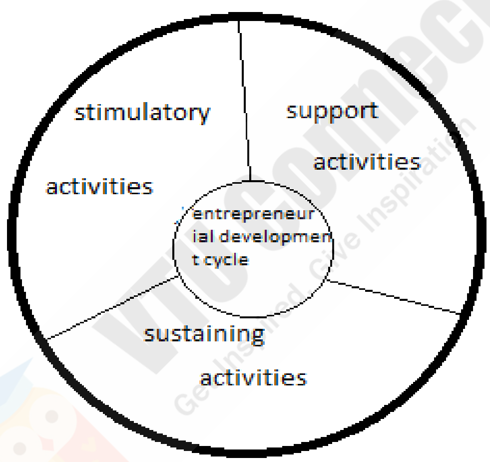

Figure: entrepreneurial development cycle

1) Stimulatory activities;

*These activities ensures the emergence of entrepreneurs in the society

*They generate initial motivation and offer opportunity to acquire skill

*These can be achieved by the following activities

-entrepreneurial education

-planned publicity for entrepreneurial opportunities

-identification of potential entrepreneurs through scientific methods

*motivational training to new entrepreneurs

*Creating entrepreneurial forums

*recognition of entrepreneurs

2) Support activities

*These activities nurture and help entrepreneurship to glow

*The various support activities are given below:

-registration of unit

-arranging finance

-Providing land, shed, power, water and so on

-guidance for selecting and obtaining machinery

-supply of scares raw materials

-getting licenses/import licences

-help marketing the product

3) Sustaining activities:

*These activities are all those that help in the continuous and efficient functioning of entrepreneurship

*The various sustaining activities are as follows

-help modernization

-additional financing for full capacity utilization

-consultancy services

-production units/policy change

-defusing repayment/interest

3.13 Problems faced by Entrepreneurs and capacity building for Entrepreneurship

A large number of entrepreneurs particularly in the small enterprises fail due to several problems and barriers. The greatest barrier to entrepreneurship is the failure of success. Karl. H. Vesper has identified the following entrepreneurship barriers:

1. Lack of a viable concept

2. Lack of market knowledge

3. Lack of technical skills

4. Lack of seed capital

5. Lack of business know how

6. Complacency—lack of motivation

7. Social stigma

8. Time presence and distractions

9. Legal constraints and regulations

10. Monopoly and protectionism

11. Inhibitions due to patents

Outcome:

Students will be able to know about Entrepreneurship, its importance and Social responsibilities of business towards different groups.

Recommended Questions:

1. Explain Social audit.
2. Explain Business Ethics and Corporate Governance.
3. Who is an Entrepreneur? Explain the characteristics of an Entrepreneur.
4. Explain various classifications of Entrepreneurs. Explain problems faced by Entrepreneurs.
5. Describe the social responsibilities of business towards different groups.
6. What is social audit? What are its benefits?
7. Explain what do you understand by the concept of social responsibility of businessmen?
8. Explain the characteristics of a successful entrepreneur.
9. Explain the entrepreneurial development cycle.

MODULE 4

MODULE STRUCTURE

4.1 **Family Business:** Role and Importance of the Family Business

4.2 Impact of Globalization and WTO on SSIs

4.3 Concepts and definitions of SSI Enterprises

4.4 Business Government policy and development of the Small Scale sector in India

4.5 Growth and Performance of Small Scale Industries in India

4.6 Sickness in SSI sector

4.7 Problems for Small Scale Industries

4.8 Ancillary Industry and Tiny Industry (Definition only) (Selected topics from Chapter1, Text 2).

4.9 **Institutional Support for Business Enterprises:** Introduction

4.10 Policies & Schemes of Central Level Institutions

4.11 State Level Institutions (Selected topics from Chapter 4, Text 2)

OBJECTIVE:

- Learn the concepts of SSI
- Understand the problems faced in SSI.
- Get to know the Different institutional support.

4.1 Modern Small Business Enterprises: Role and Importance of the Family Business

- SSI constitutes an important segment of the Indian Economy.
- SSI sector has emerged as dynamic and vibrant sector of economy, because it provides abundant labor supply, unemployment problem is gradually decreased.

- The sector has grown well during past 5 decades besides playing a vital role in fulfilling India's Socio-Economic objectives.
- The small scale sector accounts for about 35% of the country's industrial production, 40% of export & 60% of employment opportunities.
- Various policy initiatives has been undertaken by the government, whether by way of incentives or protection have helped the sector in acquiring the status of a major contributor in the growth process.
- The process of liberalization and economic reforms, since1991 have created tremendous opportunities and thrown up new challenges for the sector.
- To ensure sustained growth,
  - Building competitive strengths.
  - Introducing technology up gradation
  - Quality improvement

  Are important issues that need to be addressed.

4.2 Impact of Globalization and WTO on SSIs

IMPACT OF GLOBALIZATION ON SSI IN INDIA :

- Many policies discouraged the growth of small scale units into large ones and had a stunning effect on manufacturing, employment, output growth.
- With globalization, the SSI are now more exposed to severe competition from large scale sector-domestic-foreign and from MNCs.
- The problem of SSI in the liberalized environment is multidimensional.
  - Delay in implementation of projects.
  - Inadequate availability of finance and credit

- Expensive mode of communication
- Marketing problems
- Cheap and low quality products
- Delay in payments
- Technological obsolescence
- Imperfect knowledge of market condition
- Lack of infrastructure facilities and technical skills and so on..

➢ Due to globalization, there is increased internationalization of production, distribution and has resulted in the opening up of markets, leading to intense competition.

For ex:- WTO (World Trade Organization) regulates multilateral trade requiring its member countries to remove import quotas, restrictions on imports by 2001 all export subsidies by 2003.

As a result, all the enterprise in India whether importing or exporting had to face competition.

➢ The 1990s witnessed the entry of multinational companies in areas such as automobiles and electronics.

➢ In order to protect, support and promote small enterprises as also help them become self-supporting a number of protective and promotionl measures have been undertaken by the central government

The promotional measures cover the following:-

1. Industrial extension services.
2. Industrial support in respect of credit facilities
3. Provision of developed sites for construction of sheds
4. Provision of training facilities
5. Supply of machinery on hire-purchase terms

6. Assistance for domestic marketing as well as exports

- Even the state government provides investment and promoting small industries with a view of enhancing industrial production and generation employment in their states.

IMPACT OF WTO ON SSIs:

- The emerging challenges to the small scale sectors are due to the impact of agreements under the WTO to which India is signatory along with 134 member countries.
- The main outcome of WTO stipulated requirements will be brought about through reduction in,
  - Export subsidies
  - Greater market access
  - Removal of non-traffic barriers
  - Reduction of tariffs
- Patent laws such as trade related aspects of Intellectual Property Rights(TRIPS) agreement which lays down what is to be patented (both patented and processes) for what duration and on what terms.

WTO: Pros and Cons

Pros:-

Firstly, National treatment (or MFN) for exportable items across the countries all over the world, with better market access through the internet.

Secondly, enlenghtened entrepreneur have greater opportunities to benefit for their comparative advantage due to lowering of tariffs.

Finally, industries that are in constant touch with the government, which in turn negotiates in their best interests are going to benefit.

Cons:-

SSI's have to face competition by the way9 of cheap imports from different countries due to the removal of quantitative restrictions(QRs) on imports and lowering of tariffs.

OGL (Open general License) Opens up possibilities of direct competition in the domestic market with the import of high quality goods from developed countries and cheap products from less developed countries. Entry of MNCs have intensified competition in the domestic market.

4.3 Concepts and definitions of SSI Enterprises

Small Scale Industrial Unit(SSI):

An industrial undertaking in which the investment in fixed assets in plant and machinery, whether held on ownership terms or on lease or by hire purchase, does not exceeds Rs.100Lakh as on march 31, 2001 is to be treated as a small scale industrial unit.

Ancillary unit:

This is sub class of SSI an industrial undertaking which is engaged is proposed to be engaged in,

i. The manufacture of parts, components, sub assemblies, tooling or intermediates.

ii. Rendering of services or supply or rendering not less than 50 % of its production or its total services, as the case may be, to other units for production of other articles and whose investment in fixed assets in plant or machinery, whether held on ownership terms on lease or by hire purchase, does not exceeds Rs.1Crore as on march 31, 2001 is to be treated as ancillary unit.

Export Oriented unit (EOU):-

An industrial undertaking in which the investments in fixed assets in plant and machinery, whether held on ownership terms or on lease or by hire purchase, do not exceeds Rs.100Lakh and has obligations to export 30% of production.

Tiny Unit:-

The investment limit in a plant and machinery in respect of tiny enterprises is Rs.25Lakh irrespective of the location of the unit.

Women Entrepreneur:-

A small scale industrial unit industry related services or business enterprise, managed by one or more women entrepreneurs in proprietary concerns, or in which she/they individually or jointly have a share capital of not less than 51% as partners/shareholders/directors of private limited company/Menber of co-operative society.

4.4 Business Government policy and development of the Small Scale sector in India

- Mahatma Gandhi had specified concern for handicrafts and village based industries.
- Various measures taken by central and state governments for the development of SSI have included,
  - Product reservations
  - Extension of business and technical services
  - Marketing assistance including export promotions by institutes such as National Small industries corporation, small industries development organization, khadi and village industries commissions. etc.
- Administratively India's SSI sector is divided into,
  - <u>Traditional Sectors</u>
    - a) Handicrafts
    - b) Handlooms
    - c) Khadi, village and cottage industries
    - d) Coir
    - e) Sericulture

- Modern sector
  a) Power looms
  b) Residual small scale industries

4.5 Growth and Performance of Small Scale Industries in India

Pre and Post Liberation Periods:

- Performance of SSI sector in india during 1980's and 1990's.
- The level of output by the SSI's went up from Rs.28060crore to 578470 crore.
- Exports have gone up early nearly 40 times over a period of two decades.
- Growth rate has been decreased between1995 and 2000.
- Looking at the progress of SSI sector in the post liberalization period compared to that of 1980's we can see increase in production and Exports was more impressive.

4.6 Sickness in SSI sector

- Sickness in identified in terms of continuous decline in gross output.
- Sickness in total SSI Sector was to the tune of 1%whereas the registered and unregistered SSI sector it was 3.38% and 0.64 % respectively.
- The maximum number of SSI units-about 59.33% was located in west Bengal, Kerala, Maharashtra, Karnataka and Andhra Pradesh.
- Out of units having loan outstanding with institutional sources such as banks and Financial 19.6% in the registered SSI Sector and 16.61% in unregistered sector.
- Incipient sickness identified in a continuous decline in gross output was 11.5% in registered sector and 6.48% in unregistered sector. In total SSI sector the percentage was7.4%.

- The states of kerala, Tamilnadu, andhrapradesh, Karnataka and maharashtrahad maximum number of sick/incipient sick SSI units.These five states together accounted for 54.58% of the sick SSI units in the country.
- “Lack of demand” and “Shortage of working capital” were the main reasons for sickness/incipient sickness in both registered and unregistered SSI sectors.

4.7 Problems for Small Scale Industries

1. Difficulty in obtaining credit from Commercial banks because of their general inability to provide Security.
2. Absence of management expertise.
3. Difficulty in completing with imported products due to high production costs.
4. Difficulty in obtaining industrial land in towns and cities
5. Difficulty in identifying appropriate technology and technical assistance.
6. Project preparation and evaluation.
7. Entrepreneurship Development
8. Industrial training and skill formation
9. Quality control and testing facilities
10. Market promotion both domestic and export.
11. Cooperation among developing Countries.

4.8 Ancillary Industry and Tiny Industry (Definition only)

An ancillary unit is one, which sells not less than 50 % of its manufactures to one or more industrial units. The limit of investment is same for ancillary units and small scale industries. The investment limit for tiny industry is Rs. 25 lakh in plant and machinery. There is no restrictive condition of the location of the unit in small towns. These enterprises would be entitled to preference in land allocations, power connection, and access to facilities or skill/technical up gradation. These would also have easy access to institutional finance, priority in Government purchases and relaxation in labour laws. Service units provide services such as hotel and hospital services. The investment ceiling is fixed at Rs. 1.0 million (excluding land and buildings).

4.9 Institutional Support for Business Enterprises: Introduction

Meaning and Need for Support

Finance is one of the essential requirements of any line of activity. Before actually setting up their units, small entrepreneurs need to know very clearly about the type and extent of their financial requirements. Integral to financial requirements is to know about the possible alternative sources from which finance can be availed of. Given the shortage of own funds, the Government of India as a part of its policy of promotion of small-scale sector in the country, has set up a host of institutions to meet the financial requirements of small entrepreneurs. Starting an industrial unit require various resources and facilities. Small scale enterprises, given their small resources, find it difficult to have these own. Finance has been an important resource to start and run an enterprise because it facilitates the entrepreneur to procure land, labour, material, machine and so on from different parties to run his/her enterprise. Hence finance is considered as "life blood" for an enterprise. Recognizing it, the Government through her financial institutions and nationalized banks, has come forward to help small entrepreneurs provide them funds.

Admittedly, finance is an important resource but not the only condition to run an enterprise. In order to start any economic activities, a minimum level of prior built up of infrastructural facilities is needed. Financial assistance and concessions cannot, in any case, adequately compensate for the deficiencies of infrastructure such as transport and communication. This is one of the reasons why industries have not been developing in backward areas in spite of financial assistance and concessions given by the Government to the entrepreneurs to establish industries in backward areas. Creation of infrastructural facilities involves huge funds which the small entrepreneurs do lack. In view of this, various central and state government institutions have come forward

to help small entrepreneurs in this regard by providing them various kinds of support and facilities. Availability of institutional support helps make the economic environment more conducive to business or industry. The various kinds of support and facilities provided are discussed in the next section. The various central, state government institutions are discussed in detail in chapter 7.

4.10 Policies & Schemes of Central Level Institutions

1. Small scale industries board-SSI board.

The government of India constituted a board, namely, Small Scale Industries Board (SSIB) in 1954 to advice on development of small scale industries in the country. The SSIB is also known as central small industries board. The range of development work in small scale industries involves several departments /ministries and several organs of the central/state governments. Hence, to facilitate co-ordination and inter-institutional linkages, the small scale industries board has been constituted. It is an apex advisory body constituted to render advice to the government on all issues pertaining to the development of small-scale industries. The industries minister of the government of India is the chairman of the SSIB. The SSIB comprises of 50 members including state industry minister, some members of parliament, and secretaries of various departments of government of India, financial institutions, public sector undertakings, industry associations and eminent experts in the field.

2. Khadi and Village industries Commission:

1. It is a statutory body created by ana ct of parliament.
2. It is charged with Planning, Promotion, organisation and implementation of the programme for the development of khadi and other village industries in the rural areas.
3. It builds up a reserve of raw materials and implements for supply to producers and facilitates processing of raw materials as semi finishes goods and provision for marketing of KVIC products.
4. KVIC is entrusted with the task of providing financial assistance to institutions or persons engaged in the development and operation of khadi and village industries and guide them through supply of designs, prototypes and other technical information.

3. SMALL INDUSTRIES DEVELOPMENT ORGANIZATION (SIDO)

SIDO is created for development of various small scale units in different areas. SIDO is a subordinate office of department of SSI and ARI. It is a nodal agency for identifying the needs of SSI units coordinating and monitoring the policies and programmes for promotion of the small industries. It undertakes various programmes of training, consultancy, evaluation for needs of SSI and development of industrial estates. All these functions are taken care with 27 offices, 31 SISI (Small Industries Service Institute) 31 extension centers of SISI and 7 centers related to production and process development.

The activities of SIDO are divided into three categories as follows:

***Coordination activities of SIDO*:**

(1) To coordinate various programmes and policies of various state governments pertaining to small industries.

(2) To maintain relation with central industry ministry, planning commission, state level industries ministry and financial institutions.

(b) ***Industrial development activities of SIDO*:**

(1) Develop import substitutions for components and products based on the data available for various volumes-wise and value-wise imports.

(2) To give essential support and guidance for the development of ancillary units.

(3) To provide guidance to SSI units in terms of costing market competition and to encourage them to participate in the government stores and purchase tenders.

(c) ***Management activities of SIDO*:**

(1) To provide training, development and consultancy services to SSI to

develop their competitive strength.

(2) To provide marketing assistance to various SSI units.

(3) To assist SSI units in selection of plant and machinery, location, layout

design and appropriate process.

4. NATIONAL SMALL INDUSTRIES CORPORATION (NSIC)

The National Small Industries Corporation (NSIC), an enterprise under the union ministry of industries was set up in 1955 in New Delhi to promote aid and facilitate the growth of small scale industries in the country. NSIC offers a package of assistance for the benefit of small–scale enterprises.

1. ***Single point registration***: Registration under this scheme for participating in government and public sector undertaking tenders.

2. ***Information service***: NSIC continuously gets updated with the latest specific information on business leads, technology and policy issues.

3. ***Raw material assistance***: NSIC fulfils raw material requirements of small-scale industries and provides raw material on convenient and flexible terms.

4. ***Meeting credit needs of SSI***: NSIC facilitate sanctions of term loan and working capital credit limit of small enterprise from banks.

5. ***Performance and credit rating***: NSIC gives credit rating by international agencies subsidized for small enterprises up to 75% to get better credit terms from banks and export orders from foreign buyers.

4.11 State Level Institutions:

1. Directorate of industries:

The District Industries Centers (DIC's) programme was started in 1978 with a view to provide integrated administrative framework at the district level for promotion of small scale industries in rural areas. Management of DIC is done by the state government.

The main functions of DIC are:

(1) To prepare and keep model project profiles for reference of the entrepreneurs.

(2) To prepare action plan to implement the schemes effectively already identified.

(3) To undertake industrial potential survey and to identify the types of feasible ventures which can be taken up in ISB sector, i.e., industrial sector, service sector and business sector.

(4) To guide entrepreneurs in matters relating to selecting the most appropriate machinery and equipment, sources of it supply and procedure for importing machineries.

(5) To provide guidance for appropriate loan amount and documentation.

(6) To assist entrepreneurs for availing land and shed equipment and tools, furniture

and fixtures.

2.KARNATAKA STATE FINANCIAL CORPORATION (KSFC)

The KSFC was established by the government of Karnataka in 1956 under the state financial corporation act 1951 for extending financial assistance to set up tiny, small and medium scale industrial units in Karnataka. Since 1956 it is working as a regional industrial development bank of Karnataka. KSFC has a branch office in each district; some districts have more than one branch.

KSFC give preference to the projects which are

(i) Promoted by technician entrepreneur.

(ii) In the small-scale sector.

(iii) Located in growth centers and developing areas of the state;

(iv) Promoted by entrepreneurs belonging to scheduled castes and scheduled tribes, backward classes and other weaker sections of society.

(v) Characterized by high employment potential.

(vi) Capable of utilizing local resources; and

(vii) In tune with the declared national priorities.

3. STATE SMALL INDUSTRIES DEVELOPMENT CORPORATIONS (SSIDC)

The State Small Industries Development Corporations (SSIDC) were sets up in various states under the companies' act 1956, as state government undertakings to cater to the primary developmental needs of the small tiny and village industries in the state/ union territories under their jurisdiction. Incorporation under the companies act has provided SSIDCs with greater operational flexibility and wider scope for undertaking a variety of activities for the benefit of the small sector.

The important functions performed by the SSIDCs include:

● To procure and distribute scarce raw materials.

● To supply machinery on hire purchase system.

● To provide assistance for marketing of the products of small-scale industries.

● To construct industrial estates/sheds, providing allied infrastructure facilities and their maintenance.

● To extend seed capital assistance on behalf of the state government concerned provide management assistance to production units.

COURSE OUTCOME:

The students will be able to understand the concepts of SSI and various institutional supports offered.

Recommended Questions:

1. Explain the role of Small scale industries in economic development. (06 marks)
2. Explain the impact of WTO on small scale industries. (04 marks)
3. Explain briefly the sickness in SSI sector (06 Marks)
4. Explain any two Policies & Schemes of Central–Level Institutions. (08 Marks)
5. Explain any two Policies & Schemes of State–Level Institutions. (08 Marks)
6. Explain the impact, pros & cons of WTO on small scale Industries. - (8 marks)
7. Discuss the growth & performance of small scale industries in India. - (8 marks)
8. Define Ancillary Industry & Tiny Industry. - (2 marks)
9. Explain the services provided by small industries development organization (SIDO). - (7 marks)
10. Explain any two policies & schemes of state level institutions. - (7 marks)

MODULE 5

MODULE STRUCTURE

5.1 **Project Design and Network Analysis:** Introduction

5.2 Importance of Network Analysis

5.3 Origin of PERT and CPM

5.4 Network

5.5 Network Techniques

5.6 Need for Network Techniques

5.7 Steps in PERT

5.8 CPM

5.9 Advantages

5.10 Limitations and Differences. (Selected topics from Chapters 16 to 20 of Unit 3, Text 3).

Course Objective:

- Learn the concept of project.
- Understand the product planning and product classification.
- Learn the project formulation and steps involved in it.

5.1 Project Design and Network Analysis: Introduction

Project design is the framework of a project formatted with detailed sequence and develops an acceptable work plan for the project. It helps the entrepreneur to improve the project as scheduled without any. The strategy is examined in details and the details are utilized to compile the sequential nation of the constitution activities of the project. This compilation of the sequential narration is known as the project logic. When it is represented in the form a graphical palterm, it is known as a network.

5.2 Importance of Network Analysis

The following are the importance**:**

1) The whole project should be considered with reference to the sequence of activities and events.

2) Network analysis requires that the events should be thought of in different stream of operations and their relationship understood clearly.

3) The whole project may be put on one network, while different segments of project may be detailed out in separate network for final integration in the overall network. Therefore important details won't miss the attention of management.

4) Time estimation may be made taking into view two discrete aspects.

* One project in which previous experience does not exist at all.

* Two times estimation may be based on previous experience of similar types of operation in different other projects.

5) Cost estimation would depend on the project time estimation and the change in the prices of different factors of production.

6) the physical progress of the projects, individually or collective require adequate notice and application of correctives in proper time.

5.3 Origin of PERT and CPM

- PERT & CPM are two of 40 different names given to network analysis.
- PERT and CPM are extension of Gantt bar chart.
- PERT and CPM were developed in USA independently

- CPM is essentially on the activities themselves and the cost associated with the completion of each activity.
- PERT was developed in 1958.It had a emphasis on the events, rather than activities leading to event.

5.4 Network

A network Comprises a setoff exponent connected with each other in a sequential relationship with each step till the completion of a project. The network Figure below presents the relationship between all the activities involved as shown below.

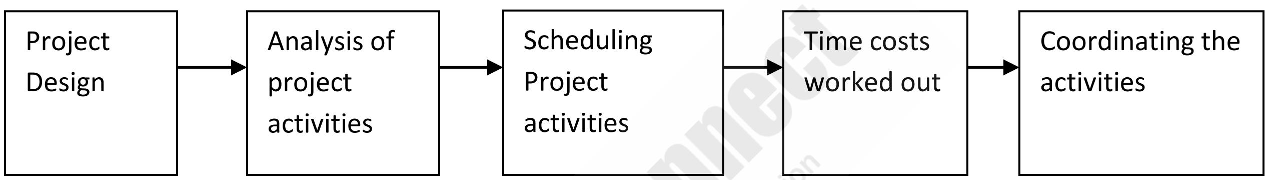

Figure: Network Design

5.5 Network Techniques

In a project there may be two categories or jobs or activities-which can be taken up only after completing some other activities either completely or partially.

Several techniques of project scheduling and control such as BAR charts, PERT and CPM etc are used.

5.6 Need for Network Techniques

Network analysis helps in designing, Planning, Coordinating, Controlling and Decision making in order to accomplish the project economically in the minimum available time with the limited resources.

Limitations of barchart and Milestone: A bar chart becomes a Cumbersome while dealing with big and Complex projects. A Bar chart does not point out which tasks should be given priority as regards resources. Barchart neither satisfactorily tells the time at which the activities begin and end nor does it indicate tolerances in activity timings.PERT is one of the management techniques which is more useful to some managers.PERT is concerned with two concepts:

Events: An event is a specific accomplishment that occurs at a recognisable point of time.

Activities: An activity is a work required to complete a specific event.

5.7 Steps in PERT [Program Evaluation and Review Technique]

1. Establishment of objectives.
2. Schedule breakdown in great detail.
3. Both technical and managerial persons should begin to work together.
4. Each person who participates in the applications of PERT to the control of the project should have some basic familiarity with nature of work and ultimate objectives desired.

In order to arrive at the most reliable estimate of time, three time estimates are usually employed under this technique.

The optimistic time:

- It is the shortest time possible if everything goes perfectly well with no complications. The chance of this optimum actually occurring might be one in a hundred.

The pessimistic time:

- It is longest time conceivable. It includes time for unusual delays and thus the chance of its happening might be only one in a hundred.

The most likely time

- It would be the best estimate of what normally would occur

Advantages of PERT:

- This technique gives management the ability to plan the best possible use of resources to achieve a given goal within the overall time and cost limitations.

- It helps management to handle the uncertainities involved in programmes when no data is available.
- It waits for the right action, at the right point at the right time in the organization.

Limitations of pert:

The basic difficulty comes when there are activities which are non repetitive type.

This technique does not consider resources required at various stages of the project.

Use of this techniques for active control of a project requires frequent updating and revising the PERT calculations and this proves quite a costly affair.

5.8 CPM

CPM has two time-cost estimates for each activity but does not incorporate any statistical analysis in determining such time estimates. CPM operates on the assumption that there is a precise known time that each activity in the project will take.

5.9 Advantages

1. It helps in ascertain the time schedule
2. With its aid control by the management is made easy
3. It makes better and detailed planning possible.
4. It provides a standard method for communicating project plans, schedules, time and cost performance.
5. It identifies the most critical elements and thus more attention can be paid to those activities.

5.10 Limitations and Differences.

Limitations of CPM:

1. CPM fails to incorporate statistical analysis in determining the time estimates.

2. It operates on the assumption that precise known time that each activity in the project will take but this time may not be true in actual life.
3. When changes are introduced into the network project entire evaluation should be repeated because the CPM is a static Planning model not a dynamic controlling device.

Difference between PERT and CPM

PERT	CPM
The origin is military	The origin is industrial
It is an event oriented approach	It is an activity oriented approach
There is allowance for uncertainty	No such allowance
It has three time estimates	There is only one single estimate of time and the emphasis is on the cost
It is probabilistic model	It is deterministic model
It does not have boundary between critical and non critical activities.	It marks critical activities
It is suitable where high precision required. Ex: Defence Projects	Suitable when reasonable precision is required. Ex: Civil Construction Projects
Time is averaged	No averaging of time is involved
The concept of crashing is applied	The concept of crashing is not applied

Course outcome:

Students will learn the concepts of project and choosing and idea for project and gain the knowledge of product development and various network techniques.

Recommended Questions:

1. Explain steps involved in PERT and CPM with advantages and limitations.

2. Explain the importance of Network analysis.

3. Discuss the different steps involved in PERT analysis.

4. Write the differences between PERT & CPM.